THE EFFECT OF LOW-INCOME HOUSING ON NEIGHBORS: EVIDENCE FROM NEW JERSEY'S MOUNT LAUREL DOCTRINE

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Abstract. This paper analyzes the effect that New Jersey's Mount Laurel Doctrine has on neighborhoods where the Doctrine-induced projects are built. The Mount Laurel Doctrine is a fifty year old New Jersey Supreme Court ruling, which subsequently became legislation, that requires municipalities to provide their fair share of low-income housing. Low-income housing projects created as a result of the Mount Laurel Doctrine are different from other low-income housing projects built in New Jersey. They are, on average, built in more affluent areas and are mixed-income projects, meaning there is a combination of low-income units and market-rate units. This paper evaluates the effect that these distinct projects have on house prices, rental rates and economic activity as proxied by store transaction volumes. I find that the Mount Laurel projects differ from the other project types in their impact on price. In contrast to projects built via the low income housing tax credit (LIHTC) program, Mount Laurel projects have a small, negative effect on nearby home prices which is being driven by the larger projects. Moreover, these projects lead to an *increase* in both the nearby rental rates and economic activity as proxied by store transaction volumes. This paper provides evidence that mixed-income projects differ in nature from other low-income housing projects and highlights this contrasting effect.

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1. Introduction

In this paper, I analyze the effect that low-income housing projects, specifically ones built as a result of the Mount Laurel Doctrine, have had on the neighborhood which they are built. The Mount Laurel Doctrine is a state-wide constitutional mandate turned into law in New Jersey. The explicit aim is to ensure that municipalities in New Jersey provide their "fair" share of low-income housing, which is housing that is affordable to moderate- and low-income households. However, these low-income housing obligations are set forth without the required funding for the projects needed to meet the obligations. As a consequence, projects being built as a result of these obligations are varied in how they

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are funded, where they are sited, and the composition of the project. This paper aims to evaluate how these projects, which are different in nature than other low-income housing programs that are better studied, affect the neighborhood around them.

The projects built to meet municipalities' low-income housing obligations take on various forms. Some projects are funded through the federal Low Income Housing Tax Credit (LIHTC) program. A few are funded through state-level agencies such as the Housing and Mortgage Finance Agency. However, because of limited funds, these programs are not sufficient for to meet all of municipalities' low-income housing obligations. Instead of solely relying on these federal and state programs, many municipalities have adopted inclusionary zoning policies or other policies that incentivize builders who are developing larger projects to set-aside part of the project to be affordable to low-income tenants. This set-aside allows the market-rate units, which are not subject to rent restrictions, to cross-subsidize the low-income units and make the project economically viable. However, in order for these projects to be feasible, the market-rate units need to offer a sufficiently high rental income for the developers and, therefore, tend to be in higher-income neighborhoods than projects compared to projects created via the LIHTC. Therefore, when comparing the types of projects being developed via Mount Laurel *without* state or federal funding to ones being developed via the better-studied LIHTC, the Mount Laurel projects consist of a lower percentage of low-income units and are built in higher-income areas. Moreover, because the areas where these projects are being developed are not the "typical" area where low-income housing is built, there is often community push-back due to concerns about the effect that said project will have on the existing neighborhood. This paper aims to analyze these oft-cited concerns.

The most frequent concern, and the one which this paper will focus, is the effect that these projects have on nearby house prices. I find that the effect on house prices is negative, although it is small in magnitude ($\sim 2\%$ decline) and marginally statistically significant. I also find that the effect varies largely with project and neighborhood characteristics, with negative effects on housing prices being more pronounced for projects built in lower-income

areas and among projects which are comprised of less than twenty percent low-income units. I also analyze the impact of these projects on two different outcomes: rent prices and economic activity (proxied by store transaction volumes). Interestingly, there is a positive effect on rental prices, although it cannot currently be disentangled whether or not this is a function of projects being sited where rents are already appreciating. Furthermore, Mount Laurel projects lead to a large economic boom for stores closest to the project, with this effect dissipating for stores further away and disappearing just over one-half mile away from the project.

To better interpret the results, two other types of projects are evaluated: projects that use the low-income housing tax credit (LIHTC) and projects that are comprised of only market-rate units (ie. no low-income housing set-aside). Throughout this paper, *Mount Laurel* projects will refer to projects which have a low-income unit set-aside but do **not** use any federal- or state-level funding, *LIHTC* projects will refer to projects built using the federal LIHTC program, and *Market-Rate* projects refer to projects with no low-income housing units.

I also discuss and evaluate the different methodologies that the literature has used. The traditional method, which has been most-widely used, is called the ring-method. As will be further discussed in Section 4, this method has several flaws that recent papers have identified and improved upon. The second method, developed in Diamond and McQuade [2019], generalizes the ring-method and allows for more flexibility. However, this does not come without its own drawbacks, including but not limited to computational complexity and researcher discretion playing a role. The third and most recent method has been developed following the staggered adoption two-way fixed effect revolution that has been underway since Goodman-Bacon [2021]. Callaway et al. [2024] applied exposed an implicit assumption that Diamond and McQuade [2019] and other continuous difference-in-differences models used, and McCulloch [2026] developed a method that corrects for this in the context of continuous spatial difference-in-differences. In this paper, I employ these different methods depending on the outcome being studied. Rationale behind the method

selection is discussed in each case, and robustness checks with alternative methods are also presented in Appendix A.

The rest of the paper unfolds as follows. Section 2 discusses the related literature. Section 3 explores the history of the Mount Laurel Doctrine and discusses theoretical predictions of the effect that these projects have on the neighborhood. Section 4 presents the data sources and evaluates the alternative methods for estimating the effect of the project on different outcomes of interest. Section 5 presents the results of the analysis before Section 6 discusses the limitations of the current analysis and the potential for future improvements. Section 7 concludes.

2. Related literature

This paper adds to several strands of related literature. The first of these literatures is the effect of low-income housing construction on the existing neighborhood in which they are placed. The majority of this literature focuses on the low income housing tax credit (LIHTC) program. The LIHTC program is well-suited for economic research due to its national adoption and its long-term tenure as the primary source of low-income housing construction in the United States. These characteristics mean that there is ample data spanning decades and geographic regions on which economic research can be conducted. However, the results within this strand of literature provide mixed evidence on house prices. While some papers (for example, see Voith et al. [2022]) have found positive price spillovers onto nearby houses to new LIHTC projects, there is research which finds more nuanced effects that vary by project type and location. For example, Woo et al. [2016] finds geographic variation in price effects, with negative spillovers from LIHTC projects in Charlotte, NC but positive spillovers from projects situated in Cleveland, OH. Diamond and McQuade [2019] finds that the effect of a LIHTC project depends on the income of the neighborhood where the project is being built, with positive spillovers occurring in low-income neighborhoods but negative price effects when the project is built in a high-income neighborhood. Ahn and Won [2024] finds that LIHTC projects often lead to more community resources such as more pharmacies, recreational centers and healthcare

providers. This speaks to a community revitalization mechanism that accompanies an LIHTC project. While contributing to the debate about the price effects and revitalization mechanisms is, in itself, important, there is a key distinction between LIHTC projects and many of the low-income housing projects being built in New Jersey as a result of the Mount Laurel Doctrine. Projects being built via the LIHTC program have a tendency to consist of close to one-hundred percent low-income units, meaning that nearly all the units being built via the LIHTC program are for sale and/or rent only to those that meet the criteria required to qualify for low-income housing. In contrast, many of the projects being built in New Jersey to satisfy municipalities' "fair share" obligations are mixed-rate projects, where there is a set-aside of low-income units in the project and also a set of market-rate units which are being used to cross-subsidize the low-income units. In addition, and as a likely consequence of relying on cross-subsidization rather than federal tax credits to build and sustain the low-income project, the projects in New Jersey that do not use the LIHTC program are built, on average, in more economically affluent areas. This difference in the low-income vs. market-rate composition of the projects and the neighborhoods in which the projects are being built lends itself well to further heterogeneity analysis which is not feasible using the LIHTC program data.

There is a smaller subset of the above literature which evaluate the effect of other types of low-income housing projects on the neighboring area. Ellen et al. [2007] conducts similar analysis as the above-mentioned papers, but conducts heterogeneity analysis across different types of New York City-specific low-income housing programs to see if the impact on a neighborhood receiving new low-income housing units varies with the program used to create the project (LIHTC vs. public housing vs. Section 202 vs. Section 8). They find that there are, in general, increases in neighboring house prices, although the exact results vary with the funding program and the scale/siting of the project. The paper most similar to mine is Sportiche et al. [2025], which evaluates the effect of Massachusetts 40B program. They find that projects developed under 40B, which also requires municipalities to meet their fair share of low-income housing and allows for a builder's remedy if a

municipality is not in compliance with their affordability requirement, do not (*on average*) lead to any change in nearby house prices. However, they do find that larger projects have negative impacts on nearby house prices, although this effect does not present until nearly a decade after the initial permitting process is initiated. While Sportiche et al. [2025] evaluates the impact of the most similar policy to Mount Laurel, there are a few key distinctions between their setting and the one investigated in this paper. First, nearly all of the projects that they investigate are in the Boston suburbs or Cape Cod, a narrower geographic concentration than what is found in New Jersey, where projects are built in eighteen of twenty-one New Jersey counties. Second, while heterogeneity analysis with regards to the *size* of the project is explored, there is no heterogeneity analysis with regards to the affordability mix of the projects. Therefore, while the 40B is the most similar state-level program to the Mount Laurel Doctrine, in terms of scope and longevity, the analysis differs in terms of what features of a project are of primary interest. Moreover, results stemming mostly from Boston suburbs cannot necessarily be extrapolated to New Jersey, and so analysis into the New Jersey-specific setting is fruitful in itself.

The second strand of literature focuses on the effect of inclusionary zoning policies more generally. Inclusionary zoning policies - policies which require that new housing developments meeting a certain threshold (typically a size threshold) set aside a certain percentage of their units to be low-income units - have been rising in popularity among US municipalities in recent decades. While the initial rationale of inclusionary zoning was racial integration, it has begun to be looked at as a policy tool to increase the supply of low-income units in a municipality and alleviate financial burdens in the housing market. With regard to the effect of inclusionary zoning policies on house prices, Bento et al. [2009],Wang et al. [2025] and Hamilton [2021] find that the policies cause house prices to rise, while Schuetz et al. [2011] finds mixed results that vary with the market where the inclusionary zoning policy is in place. Hamilton [2021], Wang et al. [2025] and Mukhija et al. [2010] all find that there is no significant effect of inclusionary zoning policies on construction and permitting in a municipality. Lastly, Kontokosta [2014] finds that, in the aggregate,

inclusionary zoning policies do encourage racial and socio-economic integration, an outcome which motivated the inception of inclusionary zoning policies decades ago. While this work is related to the New Jersey setting due to New Jersey's wide-spread adoption of inclusionary zoning policies, there are several differences between this strand of research and what this paper aims to analyze. First and foremost, the majority of these papers focus on municipal level data and compare, using a difference-in-differences or similar design, municipalities who adopt an inclusionary zoning policy to those who do not. This methodology abstracts away from micro-level effects of mixed-rate units actually being built as a result of an inclusionary zoning policy. This paper aims to shed light on the differing effect of the actual *composition* of the projects being built as a *result* of these policies, rather than the binary of whether or not an inclusionary policy is in place at all.

Another, smaller strand of literature is the effect that the Mount Laurel Doctrine has had in New Jersey. To the best of my knowledge, there are no peer-reviewed economics papers which focuses on Mount Laurel specifically. The bulk of this literature comes from law review articles, which discuss the legal case of the initial Mount Laurel Doctrine and the practicality of the enforcement mechanisms of Mount Laurel. Beyond legal scholarship, other work on Mount Laurel comes from either history scholarship (Payne [2006], Kirp et al. [1995]) or sociology (Derickson et al. [2013]). Again, these are not peer-reviewed economics papers and, therefore, do not tend to focus on the economic impacts of the low-income projects being created as a result of the Mount Laurel Doctrine. Derickson et al. [2013] is an exception, and does investigate the economic impacts that comes with low-income housing created by the doctrine. However, they only use a single project, the one which was the basis for the initial Mount Laurel lawsuit and the subsequent decision that resulted, and the impact that it had on the community in which it was built. Due to the limited sample size (n=1), this book can only be seen as a qualitative study of a single project rather than a rigorous, quantitative study which I am to provide in this paper.

3. Background and Theory

3.1. **Background on the Mount Laurel Doctrine.** The Mount Laurel Doctrine initial inception came in 1975 in the New Jersey supreme court ruling of *South Burlington NAACP vs. Mount Laurel Township*. In this decision, the New Jersey Supreme Court outlawed exclusionary zoning throughout New Jersey and required municipalities to provide their "fair share" of low-income housing. The doctrine was subsequently strengthened in 1983 when the New Jersey Supreme Court proposed the builder's remedy to help ensure compliance of the doctrine, and invited the legislature to provide legislation for the implementation of the doctrine, which they did in 1985. In this 1985 legislation, the New Jersey Legislature created the Council on low-income Housing (COAH) to oversee and implement the Mount Laurel Doctrine. During most of COAHs tenure overseeing the Doctrine, regional contribution agreements (RCAs) - agreements in which wealthier towns would pay poorer towns to build low-income projects on their behalf - were in place and, in many ways, undermined the original intent of the Mount Laurel Doctrine. These RCAs were eliminated in 2008. However, due to their ineffectiveness in enforcing the Doctrine, COAH was stripped of its oversight duties in 2015 and enforcement of the Doctrine was transferred back to the courts after nearly two decades of virtually non-existent enforcement. From 2015-2025, obligations were decided on a municipality-by-municipality basis via court decisions. Following the elimination of COAH and the transference of enforcement back to the courts, municipalities were given a 30 day period to file a plan regarding their low-income housing need and how to meet this need with the New Jersey courts. While many decisions were handed down by the court shortly following a municipality filing their plan, other plans were contested in court and/or appealed, leading to some cases not to be fully resolved until 2020. However, the majority of Mount Laurel IV decisions were resolved in 2015.

Since 2015, the estimated number of low-income units being built per year has increased dramatically [1]. This data suggests that the new enforcement mechanism (ie. the court enforcement) has been effective in its intended purpose: building more low-income housing. However, it is important to note that the mechanism for which municipalities meet their court-mandated Mount Laurel obligations was not being set by the courts or any other state-level entity, but instead is left to the municipalities to decide. Therefore, the mechanism for which municipalities meet their obligations varies greatly and includes inclusionary zoning policies, projects funded by the Low Income Housing Tax Credit (LIHTC) program, projects funded by state-level agencies and payment-in-lieu of taxes (PILOT) initiatives. In this paper, we will be focusing on three distinct categories of projects: projects being induced by the Mount Laurel obligations but *not* using federal- or state-level funding (denoted as *Mount Laurel* projects), projects that use federal funding, specifically LIHTC funding (denoted as *LIHTC* projects), and projects which comprise of 100% market-rate units (denoted *Market-Rate* projects).

3.2. **Theory and Hypotheses.**

3.2.1. *Effect on Prices.* The effect of low-income housing projects on nearby house prices is debated and prior research provides mixed evidence. This mixed evidence is also consistent with theory, in which there are dueling forces influencing the impact of low-income housing projects. First, there may be compositional changes in the neighborhood following an low-income housing project, which theory predicts may lead to a negative price effect if these changes are seen as undesirable to current residents of the neighborhood. On the other hand, if low-income housing projects are seen as a revitalizing force in the neighborhood (infill projects or a local economic boom from more residents) then the prices of surrounding houses would be predicted to rise. The overall effect of these projects is therefore ex-ante ambiguous, based on both prior empirical research and on theory.

[1]This data is based off of the 62% of municipalities which i) have had non-zero low-income housing obligations between 2015-2022 and ii) adhered to the state-mandated reporting requirements about municipalities progress on building low-income housing

As discussed, there is mixed evidence as to the effect of low-income projects in general on nearby house prices. However, since census tracts where Mount Laurel projects are built tend to be more affluent than the tracts where the more-researched LIHTC projects are located, and prior research indicates that there are negative effects on neighborhood house prices when sited in higher-income neighborhoods, the price effects of the Mount Laurel projects are expected to be more deflationary than the results from the LIHTC literature, holding all else equal. According to prior research, the size of the project also influences the impact on nearby house prices. Prior research (Diamond and McQuade [2019],Blanco and Sportiche [2025]) provide evidence that larger projects are more deflationary on neighbors house prices than smaller ones are, and the same would be expected to be true in this setting.

An interesting component of these projects is the common inclusion of market-rate units. Prior research (see Obrinsky and Stein [2007]) suggests that market rate projects lead to zero or weakly positive effects on neighboring house prices, although these effects are largely mixed in the literature. Therefore, while the inclusion of low-income units, as stated above, is predicted to cause negative effects on neighboring house prices, these effects may be diluted by the simultaneous inclusion of market rate units. In summary, there are dueling effects present in these projects, and the dominant force will likely be dependent on i) the income of the neighborhood where the project is sited, ii) the size of the project and iii) the proportion of the units which are income restricted versus market rate. While the sign of the effect cannot be feasibly predicted ex-ante, the predictions with regards to price effects can therefore be summarized as being:

(1) More deflationary in more affluent neighborhoods/census tracts.
(2) More deflationary for larger projects.
(3) More deflationary when the proportion of income-restricted units is *larger*.

One limitation of this project is the absence of demographic data on those who live in the actual units of the projects being built, both for the low-income units and the market rate units. However, theory and prior research shows that those who move into

these low-income units benefit. First, due to the rent control nature of the low-income units, residents will have a lower financial burden and/or higher quality of living as a result of receiving a rent-controlled unit. Second, there is widely-cited research by Chetty et al. [2016] which indicates that children moving to high-opportunity areas greatly benefit from doing so in terms of future scholarly and economic success. Therefore, since there is a minimum set-aside of the low-income units for residents with children, and (as will be shown later) projects being developed as a result of the Mount Laurel Doctrine tend to be in higher income census tracts than LIHTC projects are sited, there is reason to believe that there are positive economic and academic benefits being bestowed upon many of the young residents of these units. However, due to the limitation of the demographic information about the residents, these benefits are not measurable.

3.2.2. *Rental Prices.* With regards to the effect on rental prices, theory again emits conflicting predictions as to the effect of *Mount Laurel* projects on nearby rental prices. On the one hand, the market-rate units within a *Mount Laurel* development would be predicted to *reduce* nearby rents due to the influx of competition that they represent. However, projects, especially larger projects, may also be accompanied by amenities and/or be a part of a larger revitalization initiative, both predicted to have an inflationary affect on nearby rental rates. Therefore, when holding all else equal, predictions can be summarized as:

(1) More deflationary for larger projects.
(2) More deflationary when the proportion of income-restricted units is *smaller*.

3.2.3. *Economic Activity.* Finally, with regards to the effect on economic activity as proxied by existing stores transaction volumes, the theoretical predictions are less ambiguous. First, we would expect that larger projects have a larger positive effect on economic activity, a consequence of their simply being more potential customers in the vicinity of the store. Second, all else being equal, we would expect their to be a *larger* positive effect on spending for projects which have a *lower* share of low-income units. This prediction is based off the

assumption that tenants who live in the market-rate units have a higher disposable income than those in the low-income units.

4. Data and Methodology

4.1. **Data Sources.** This paper uses data from several sources. First, data on projects that count toward municipalities' Mount Laurel obligations comes from the *NJ Fair Share Housing Center* (FSHC). In 2015, after oversight powers were transferred from the COAH back to the New Jersey courts, the FSHC was assigned by the New Jersey Supreme Court to be the counter party in litigation in which municipalities and the courts determined municipalities' low-income housing obligations. This role provided them with the access and centrality necessary to compile a comprehensive dataset on the projects that towns were building to meet their obligations. They used municipalities' reporting, court records and public permit data to create a dataset which includes project-level information such as the issuance date of the first permit for a project, the location (municipality, block and lot numbers) of the project, the number of income-restricted units in the project, the number of market rate units in the project, whether units are for sale or for rent (or a mixture), and the funding mechanism behind the project. The municipality, block and lot numbers were translated to latitude and longitude coordinates using the New Jersey Geographic Information Network (NJ GIN). Since projects funded via the LIHTC program count towards a municipality's obligations, this data set included these projects. The data is therefore trimmed to only include projects which count towards a municipality's low-income housing obligations but using non-LIHTC mechanisms to create. Projects using state-level funding mechanisms were also removed. While unlikely to be perfect, this data is superior to anything that could have reasonably been created using only public data. In total, there are 283 of these projects which can be confidently categorized as *Mount Laurel* projects.

For data on house prices, Cotality (formerly CoreLogic) data was used which contains data on the vast majority of house sales that took place in New Jersey prior to (and including) 2022. This data contains information on the location (street address) of the

property sold, the date of the sale, the amount that the property sold for and the land use code of the property at the date of sale. Using the location data, the street addresses were converted to latitude and longitude using the US Census Geocoder API.

Data for rental price data and location-specific transaction volumes (a proxy for economic activity) both come from the Dewey Data platform. These datasets contain micro-level data, accompanied by longitude and latitude coordinates of the rental property or business observed. For the rental data, an observation of a rental unit includes the posted rental price of the location and the date when this observation was scraped. This data was therefore collected only when a unit is available to be scraped, such as when it is listed for rent. For the spending data, the data is reported for a one month time period and includes information on the total revenue generated by the business over this period and therefore the mean revenue per customer over this one month period.

Finally, the last dataset used again comes from the US Census Geocoder API and contains information on demographics and median household income of a given census tract. This data is used to determine characteristics of a neighborhood where a project is being built and for subsequent heterogeneity analysis.

4.2. **Descriptive Statistics.** This section aims to motivate how projects built as a result of the Mount Laurel Doctrine but without the use of LIHTC-funding (ie. *Mount Laurel* projects) are different than both *LIHTC* projects and *Market-Rate* projects. 1 presents a map depicting where different types of projects are built. The color of the plotted points depict the project type, and the size of the plotted points depicts the proportion of projects of a given type that are built in a certain area. For example, focus on the most north-eastern (upper-right) county, Bergen county. There has been projects of all three variety of projects built during the sample period. Moreover, the blue dot (*Mount Laurel* projects) is largest, indicating that a higher portion of *Mount Laurel* projects have been built in Bergen county than the other two types of projects. Moreover, of the 21 New Jersey counties that exist, *LIHTC* projects have been built in 19 of them, while *Mount Laurel* and *Market-Rate* projects have been built in 18 of them.

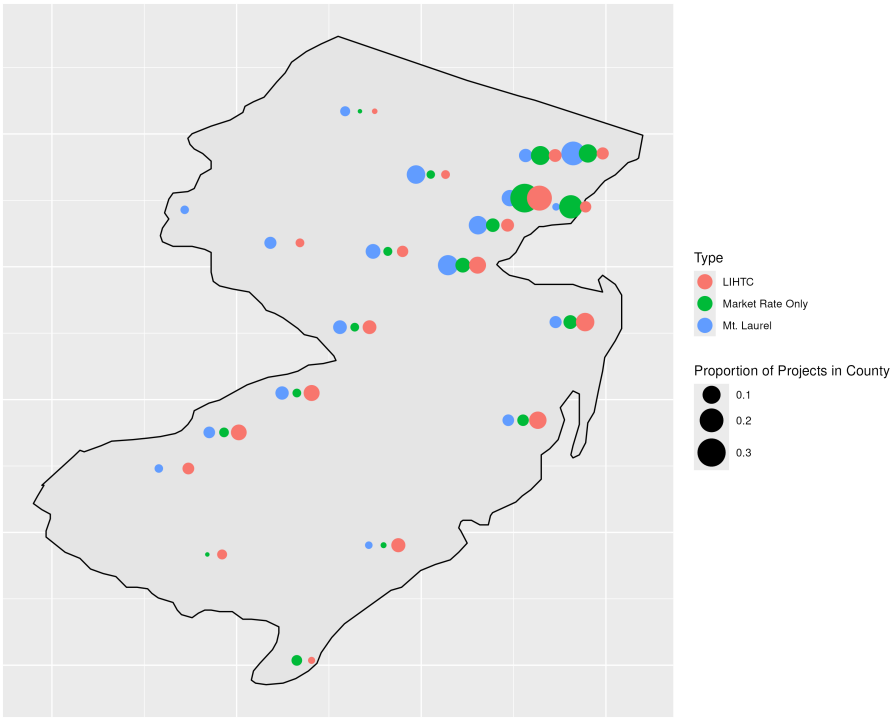


FIGURE 1. Project Dispersion Across New Jersey, by Project Type

Beyond geography, the demographics of *where* the projects are built varies as well. 1 presents a breakdown of census-tract information where the different project types are built. The *average* (mean) information is presented for each of the three distinct project types. The table illustrates that, on average, *Mount Laurel* projects are built in wealthier (≈$93,000 median income vs. ≈$55,000 median income) census tracts and census tracts with a higher white population (71% vs. 41%/34%). Due to the need for higher rental prices in order to cross-subsidize the low-income set-aside in these *Mount Laurel* projects, this result is not unexpected. However, 1 does reaffirm the assertion that projects induced to be built by the Mount Laurel Doctrine are distinct from the projects that are receiving LIHTC support or that are being built without the low-income set-aside requirement.

	***Mount Laurel* Projects**	***LIHTC* Projects**	***Market-Rate* Projects**
Average White % in Tract	71%	41%	34%
Average Black % in Tract	6%	32%	22%
Average Asian % in Tract	12%	6%	10%
Average Hispanic % in Tract	9%	20%	32%
Average Median Income in Tract	$92,745	$55,218	$54,270
Average Number of Units in Project	144	109	55
Average % of low-income Units	27	96	0

TABLE 1. Your caption here

4.3. **Methodology.** In this section, I will describe the three possible methods which have been used in prior research. For each, I will discuss how the method works along with the benefits and drawbacks of each.

4.3.1. *Ring-Method.* The most commonly used method for economic analysis similar to what I aim to do in this paper is the ring-method. For simplicity of notation, the following description will be for the case of analysis the effect on house prices. In its simplest form, the ring-method draws two rings around a project site: an inner ring and an outer ring. Houses within the inner ring are defined as treated, while houses that fall between the inner and outer ring are the control houses. The average sale price of houses in the inner ring is then compared to the average sale price of houses in the outer ring. Figure 2 depicts this concept.

While simple and intuitive, this method comes with several shortfalls. First, the researcher must apriori define what the rings are. It is then possible, if imperfect rings are chosen, that the control is not truly "untreated" which would lead to results being biased toward zero. This is because imperfect ring selection results in treated houses being compared to other, differently treated houses. Even if the correct ring sizes are chosen, the estimates do not allow any analysis of how treatment varies *within* a ring. For example, if the inner ring is 0.25 miles, then the resulting estimate is the *average* effect for houses within 0.25 miles and does not allow any comparison of the effect on houses right next to the project to those at the 0.25 mile mark. Moreover, because there are likely more

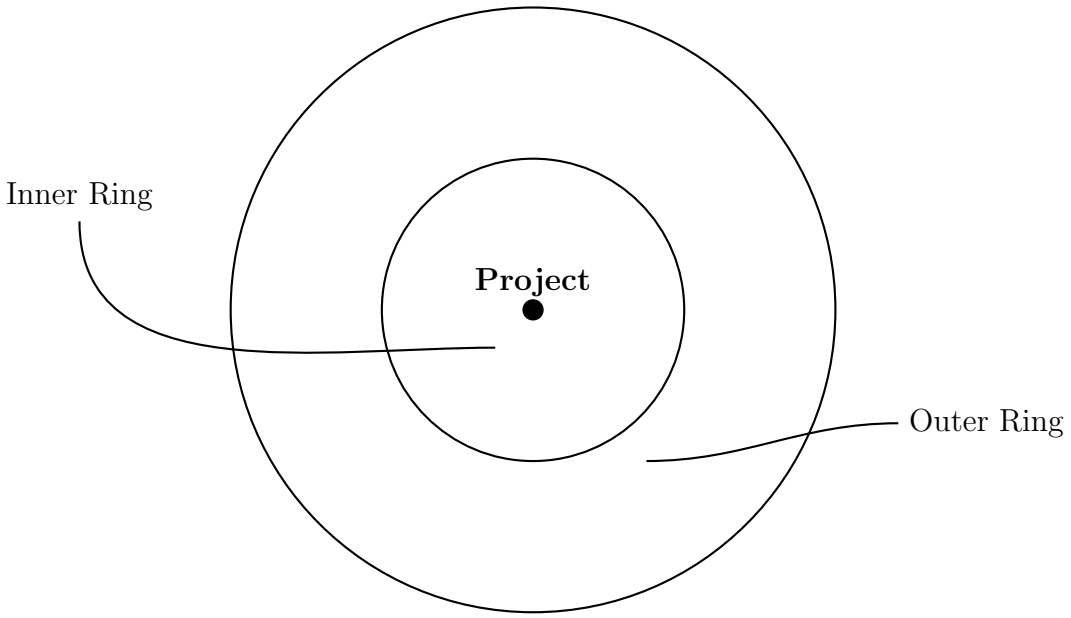


FIGURE 2. Ring-Method Illustration

observations available at the edges of the ring, the effect on these houses are given a higher weighting than the houses closer to the project. If effects dissipate sharply with distance from the project site, this can lead to masking of the true effect on houses in very close proximity to the project.

4.3.2. *DQ Method.* The second method used in the literature comes from Diamond and McQuade [2019], and will be referred to as the DQ method. This is a spatial non-parametric difference-in-difference method developed in Diamond and McQuade [2019]. It allows a researcher to recover, for each sale that has occurred in a specified proximity to a project, a gradient of how the price would change with respect to the distance to the project. The process of recovering this gradient works as follows. Suppose that a given sale (the red X in Figure 3) occurs one year after the project has been permitted for, and it is located 1 mile north east of the project. Then, other sales which occur at a similar time (to control for time-varying price trends) and in a similar direction from the project (to control for neighborhood specific price trends), but at different distances from the project are collected (houses A, B, C and D in Figure 3). This collection is the set of suitable comparisons that

practically only vary in distance from sale X. Then, within this set, each sale that is closer to the project is paired to a sale which occurs further away from the project. This pairing is based off of their proximity to X. In the example in Figure 3, B would be paired with C and A to D. The difference in the (log) price is then taken for each pair, and divided by the distance between the paired houses. A weighted sum of these difference is then calculated, yielding an estimate of how the price changes with respect to the distance from the project ie. a gradient of price with respect to distance. For each specified time interval, these gradients are aggregated across projects in order to recover an estimate of how the sales price varies with the distance from the project at a given time-from-permitting.

One more point worth discussing is the identifying assumption for this method to be credible. The necessary assumption is that, while the choice of the neighborhood may be an endogenous choice, the projects cannot be timed with hyper-local price trends. In the *Mount Laurel* setting, the rationale for this assumption holding comes from the process for *Mount Laurel* projects being approved. In order to be approved, there are several possible routes a developer of a *Mount Laurel* project can take. First, they can petition a municipality for approval to build a project on existing land they own. They can also find property/land in an area that a municipality has already zoned for higher density, often via an inclusionary zoning overlay[2]. Finally, if a municipality is not adequately meeting their low-income housing obligations, a builder can sue the municipality. The New Jersey judicial system can then circumvent the municipalities zoning laws and allow the builder to develop the project. This is known as the builder remedy. Regardless of which mechanism is used to obtain project approval, the developer is unlikely to be able to time the project with hyper-local price trends. As will be shown in Section 5.1, results using the DQ method support this identifying assumption.

While less intuitive and more computationally complex, this method comes with several advantages over the ring-method. First, the restriction to a bow-tie bandwidth controls

[2]An inclusionary zoning overlay is a regulation that a municipality puts in place on top of their existing zoning ordinance, allowing for high density projects with the condition that they set-aside a percentage to be low-income housing.

for direction-specific effects which are not handled in the ring-method. For example, the researcher can account for differences in price trends of houses to the north compared to the south of the project. Also, the DQ method does not require a researcher to pre-define which houses are treated and which are controls. Instead, a neighborhood (which can be arbitrarily large) must be defined, and then the output of this method is a continuous function of how price is affected over both time *and* distance across the entire neighborhood. Despite these advantages, very recent literature has identified an implicit assumption in this method. Suppose that projects are built near homeowners who have the least "distaste" for living near these projects. To garner intuition, assume the extreme case where the "distaste" of a homeowner for living near a low-income housing project grows proportionally with the distance from their home to the project. Estimates would then suggest that the project had no effect on home prices - all home prices declined equally because those closest to the project and most affected were also least responsive to the project while those living further away were less affected but more sensitive to the project's creation. This phenomenon, albeit taken to the extreme in the above hypothetical, is the intuition behind the threat to causal estimation identified in Callaway et al. [2024] and subsequently remedied in McCulloch [2026]. The alternative method they proposed is discussed in the next subsection.

4.3.3. *CSDiD Method.* The continuous spatial difference-in-differences ($CSDiD$) method developed in McCulloch [2026] builds on Callaway et al. [2024], which identifies an implicit assumption within the DQ method and other, similar methods. The alternative method proposed is simple in nature, and combines desirable aspects of the DQ method with the ring-method. In this method, a neighborhood is defined as a ring around a project site. Within this neighborhood ring, average house prices are then calculated for project-specific distance bins, which are chosen by the integrated mean squared error (IMSE) optimal number of equally distanced bins. Average treatment on the treated (ATT) estimates are then computed for each bin by taking the difference in average sale price for that bin pre- and post-project creation and then normalizing this difference by the difference in

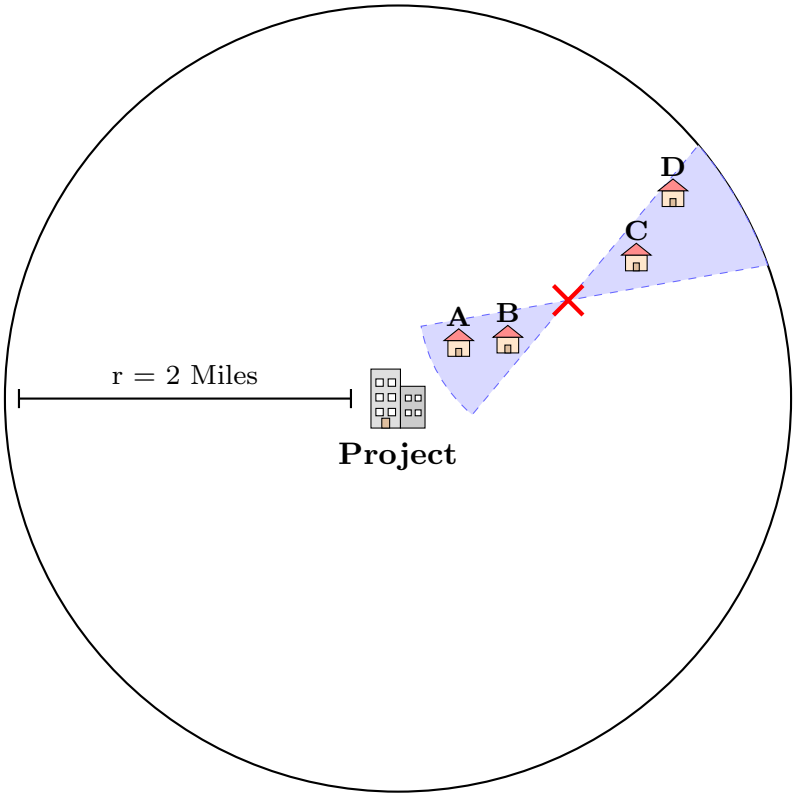


FIGURE 3. *DQ* Method Illustration

average house prices of the furthest bin pre- and post-project creation. This yields *ATT* estimates for each of the distance bins for a specific project. This is repeated for each project, yielding many *ATT* estimates for various distances. In the second and final step, the *ATT* estimates are regressed on distance using a non-parametric sieve estimator. This yields a smooth function of how the effect varies with distance from the project, equivalent to the output of the *DQ* method. In sum, this method can be thought of as a modern bin method with the added element of a non-parametric regression to recover a smooth function of how the effect varies with distance.

While this method is simpler than the *DQ* method and corrects for a potential shortfall, there are a few reasons why it is not the main specification in this paper. First, due to the absence of a time-specific bandwidth for determining comparable sales, sparse data becomes an issue, especially in the setting discussed here where the combined number of

projects is less than seven hundred for *LIHTC* and *Mount Laurel*. Second, this method does not control for direction-specific effects, which the *DQ* method does. Therefore, this method may be used in alternative settings where there is substantially more data, but it is not suitable here because of the significant data requirements that the method imposes.

For the estimations of the effect of a project on house prices and rent prices, the *DQ* method is used as the main specification reported in the text. The ring-method estimates and the results from the *CSDiD* method are also presented in Appendix A. For the estimations of the effect of a project on economic activity, the ring method is used as the main specification. There are two reasons for this choice. First, store locations are less geographically dense than rental locations and housing locations in the sample, so for a given store, there are less nearby stores in the relevant event-time/direction from project bandwidth that can be used for estimation. Moreover, because stores of interest can be observed repeatedly, location level fixed-effects can be incorporated into the ring-method model whereas the infrequency of repeated sales of the same home or the repeated rent data for the same rental property prevent this for the other two outcomes.

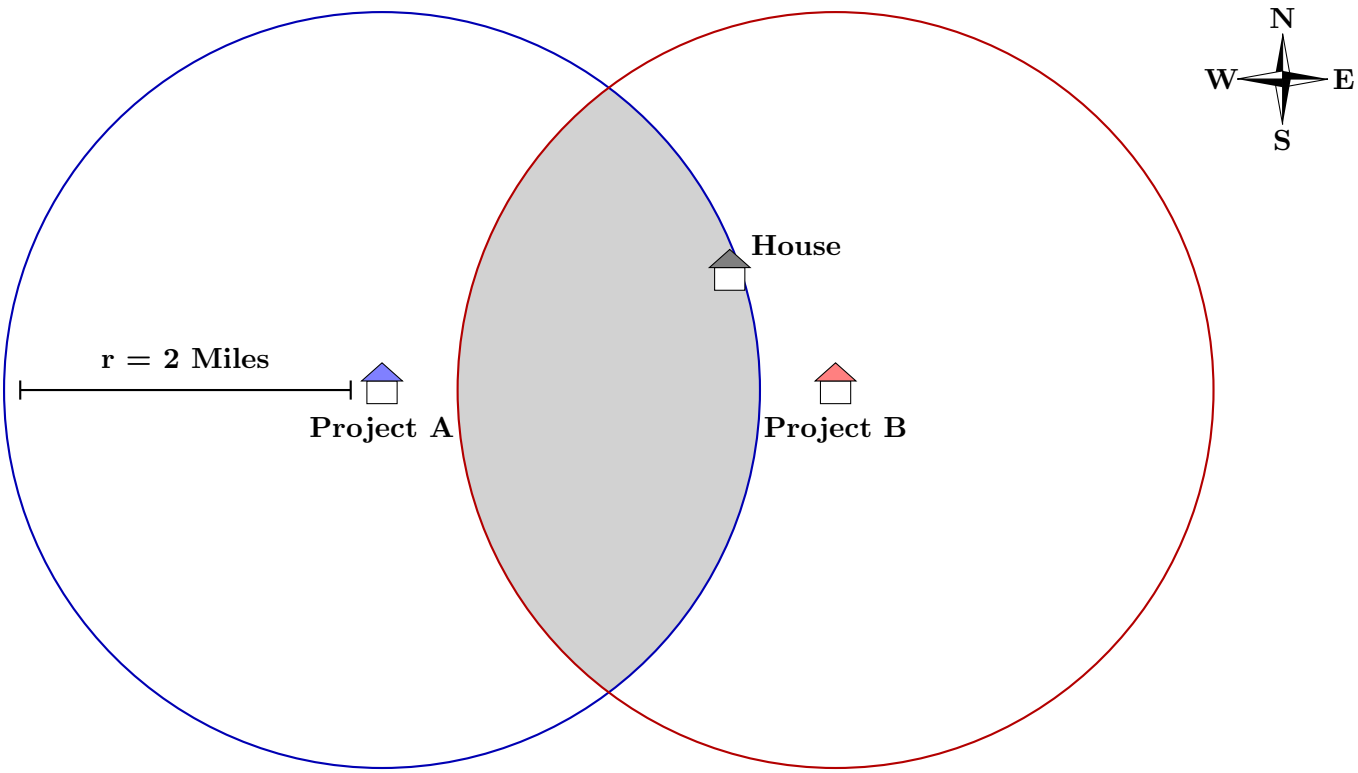


FIGURE 4. Overlap between Project A and Project B

4.4. **Handling Interacting Projects.** Before presenting results, a point worth noting is how sales of houses that are close to multiple project sites are handled. Again, there are pros and cons of restricting the analysis to only sales taking place in the proximity of exactly one project during the sample period. To illustrate this trade-off, consider Figure 4. There are two projects, A and B. They have an overlap in their neighborhoods as denoted by the intersection of the rings drawn around the projects. First consider the case where there is no exclusion of this intersecting area, and therefore *House* will be kept. To best describe the possible confounding, suppose *Project A* and *Project B* are built/permitted for at the *same* time. Also, suppose that the effect of the project is a homogeneous, immediate and permanent increase in house prices for all houses with 1 miles of the project, and no effect on any house further than 1 mile away. While *House* is not being affected by *Project A*, it is in range of *Project B* and will experience a price appreciation as a result. Then, in

the estimation of the effect of *Project A*, it would appear that there is virtually no effect on prices to the East of the project, as nearly all houses are being treated by *Project A* **or** *Project B*, and so the effect is being canceled out. The end result is an attenuation of the estimated effect toward zero for both *Project A* and *Project B*.

However, the removal of these sale observations does not come without its drawbacks as well. First, there will be large data loss due to the proximity of projects to one another. *Market-Rate* projects are the most congregated, with a mean distance from one project to its nearest project being 0.35 miles. While the most dispersed, the mean distance of a *Mount Laurel* project to the nearest other *Mount Laurel* project is only 1.47 miles. This close proximity of projects of the same type indicates that trimming projects near multiple projects could cause significant data loss. The relatively small number of projects in New Jersey over the sample period means that this is a genuine concern, although it does not make analysis infeasible. The more fundamental problem is possible selection bias that arises from removing the data. To illustrate, again consider the diagram in Figure 4. Suppose now that *Project A* is permitted for in 2016 while *Project B* is permitted for in 2018. Here, relax the assumption that a project has a homogeneous treatment effect on surrounding houses and instead suppose that *Project A* has the most positive effect on the houses East of the project. If this is indeed the case, and leads to the Eastern neighborhood to be more accommodating of further constructions, it could be the case that *Project B* is therefore sited (in part) due to its proximity to the neighborhood which already responded positively to the first project, *A*. Dropping this sub-neighborhood that responded most positively to *Project A* would then under-estimate the positive effect that *Project* A had on house prices. In sum, this data trimming could lead to a deflationary estimate of the effect that *Project A* has on nearby house prices.

5. Results

This section presents the main results of this paper. Section 5.1 presents results regarding how the different project types affect house prices near to where they are sited are presented. Section 5.2 conducts similar analysis, except with the focus being on rental prices rather

than on home sale prices. Sections 5.3 conduct mechanism analysis into how, besides through prices/rents, the projects are impacting the neighborhood via economic activity.

5.1. **Effect on Housing Prices.** First and foremost, results about how *Mount Laurel* projects are impacting nearby housing prices are presented in Figure 5. The results presented in this section use the *DQ* methodology **without** controlling for potential project interaction ie. without removal of sales near more than one project. Results which restrict the sample, use the ring-method and use the *CSDiD* method are included in Appendix A.

Figure 5 shows the estimated effect that *Mount Laurel* projects have on nearby housing prices. Each panel in Figure 5 is the estimated effect for a single event-time, defined as the years since the first project permit was issued. For example, the top left panel ($\tau = -3$) is the estimated effect on prices three years before the first permit issuance. The bottom right panel ($\tau = 5$) is the effect five years after the first permit issuance. For this estimation, and all subsequent *DQ* results, $\tau = -1$ is set as the base period.

The results suggest that there are small declines of between one and percent in house prices following a *Mount Laurel* project permit issuance. The estimated effect presents two to three years after the first permit is issued, a reasonable approximation of when the project is completed and put into service. The effect is geographically diffuse and extends up to a mile from the project site. Note that the standard errors are larger near the project, a function of there being few houses very close to a project. Furthermore, the null pre-period results ($\tau < 0$) lend credence to the identifying assumption that projects are not sited based off hyper local market trends.

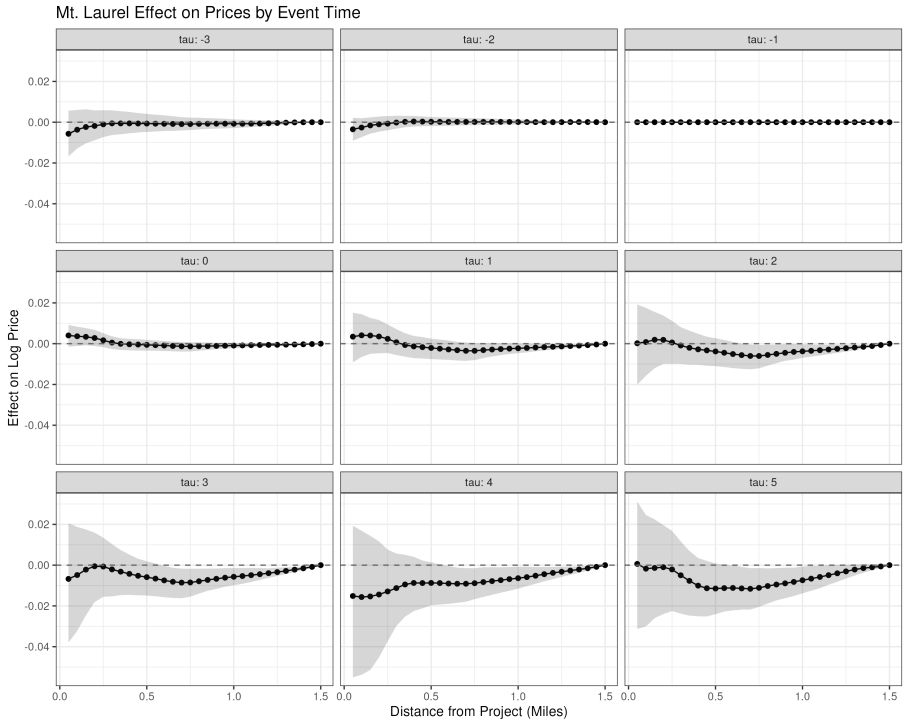


FIGURE 5. Effect of *Mount Laurel* Projects on House Prices

Similarly to above, Figure 6 presents results about how *LIHTC* projects effect house prices near to the project site. The results indicate that the *LIHTC* projects have a positive effect on house prices, although these positive effects are present for houses further away from the project (one-quarter to three-quarter miles from the project). However, both Figure 5 and Figure 6 mask heterogeneity within projects, which are explored in the rest of Section 5.1.

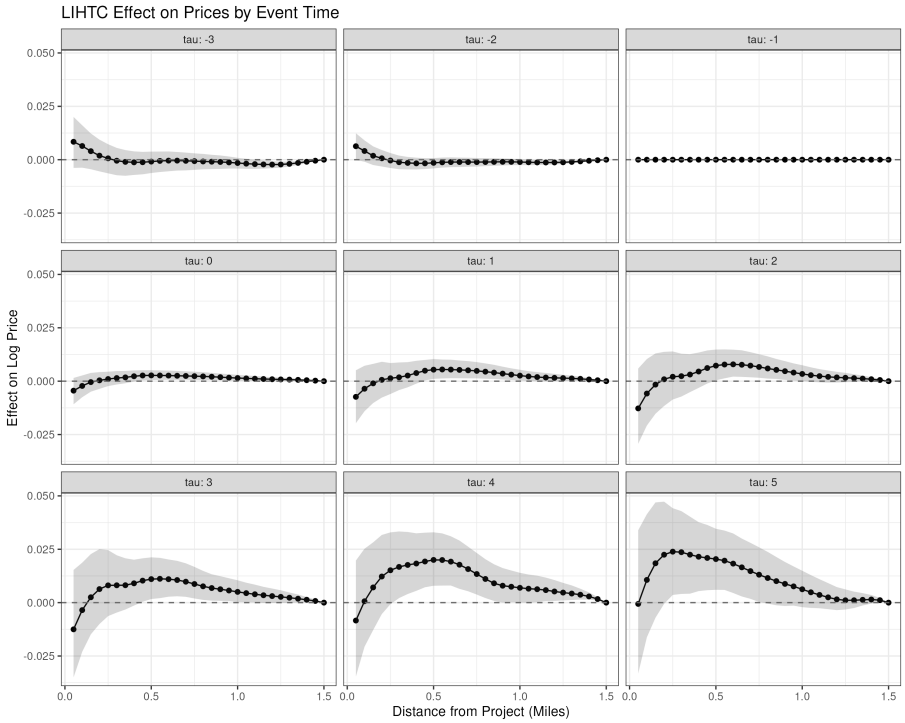


FIGURE 6. Effect of LIHTC Projects on House Prices

Finally, the results in Figure 7 are created using the *Market-Rate* projects as the focal point. The results, specifically the results for $\tau < 0$, are an illustration of how the market-rate units differ from the other two types of projects. For the *Market-Rate* projects, the results suggest that house prices were already rising prior to the first permit for the project being issued. Recall, the majority of *Market-Rate* projects are being built in urban hubs of New Jersey, where there are not low-income housing obligations and where density zoning restrictions are not a hindrance to their construction. This gives builders more control over where to site their project, subject to there being adequate space.

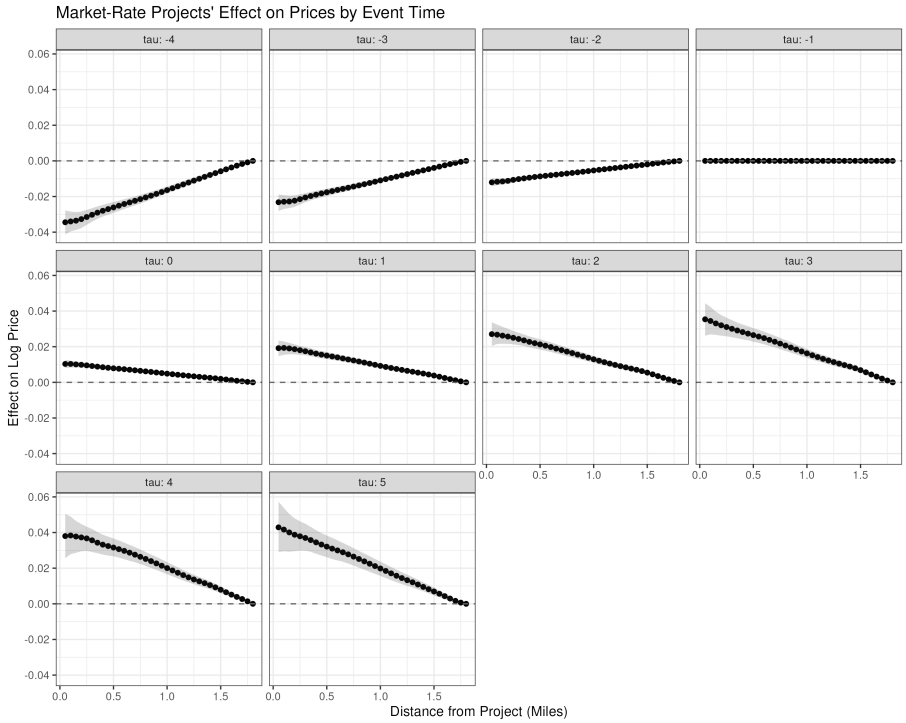


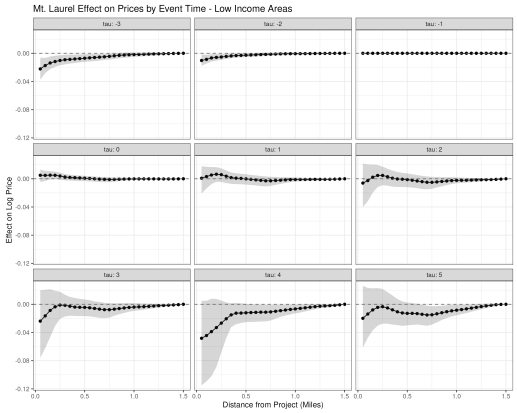
FIGURE 7. Effect of Market-Rate Projects on House Prices

5.1.1. *Effect by Neighborhood Income.* The results in the preceding subsection depict how the different projects types impact the prices of nearby houses differently. This subsection evaluates how the effect of a project varies based off the neighborhood where it is placed, specifically the income of the neighborhood. Note that *Market-Rate* projects analysis is omitted as the timing phenomenon presented above persists for all types of projects and in all types of neighborhoods.

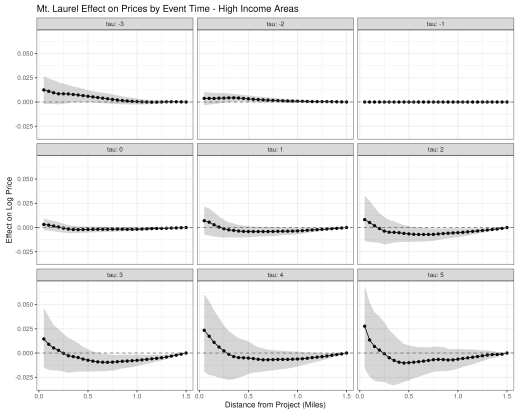
Figure 8 depicts the differing effect of *Mount Laurel* projects that are built in lower-income neighborhoods (Figure 8a) versus projects built in higher-income neighborhoods (8b). A project is considered to be in a lower-income (higher-income) neighborhood if the median income of the census tract where it is placed is below (above) the median of all census tracts where *Mount Laurel* projects are built. Interestingly, Figure 8a suggests that there is a more negative effect on house prices in the lower-income neighborhoods compared to the higher-income neighborhoods. However, in both cases, the results are

largely statistically insignificant. A large reason for this is that there is about 140 projects built in lower-income neighborhoods, and 140 built in higher-income neighborhoods. The point estimates between the two figures converge after one-quarter mile, with the difference between the two presenting only for the closest houses to the project site. One rationale behind this counter-intuitive result is the behaviors of nearby neighbors *prior* to the project being permitted for.

Figure 8a indicates that prices are slightly rising prior to the project being sited/permitted. However, Figure 8b depicts the inverse: nearby house prices are, if anything, falling prior to the permitting of the project. While these pre-trends are minor in comparison to those found in Figure 7, they are still potentially informative about the differing decision-making process that builders/municipalities have in lower-income neighborhoods versus higher-income ones, and the different response of neighbors in these types of neighborhoods. Further work is needed to untangle the building decisions behind the difference in trends depicted below. In lower-income neighborhoods, the results could suggest that builders have a larger choice set among where they build their project. This may be due to a higher willingness to accommodate builders in lower-income neighborhoods, especially when the municipality is attempting to "re-vitalize" the neighborhood. In addition, there may simply be more land available in these lower-income areas, giving builders more choice when deciding where to site their project. In higher-income neighborhoods, the declining house prices could be reflecting the drawn-out approval process that takes place in higher-income neighborhoods. While the first permit-issuance may take place in $\tau = 0$, it does not mean that the project was necessarily proposed then. In higher-income neighborhoods, resistance from existing residence may cause delays in the approval process for a project. Moreover, aware of the potential project, residents moving into/out of the neighborhood may be internalizing this project, causing prices to be on a downward trend even *before* projects are approved and permits are issued.



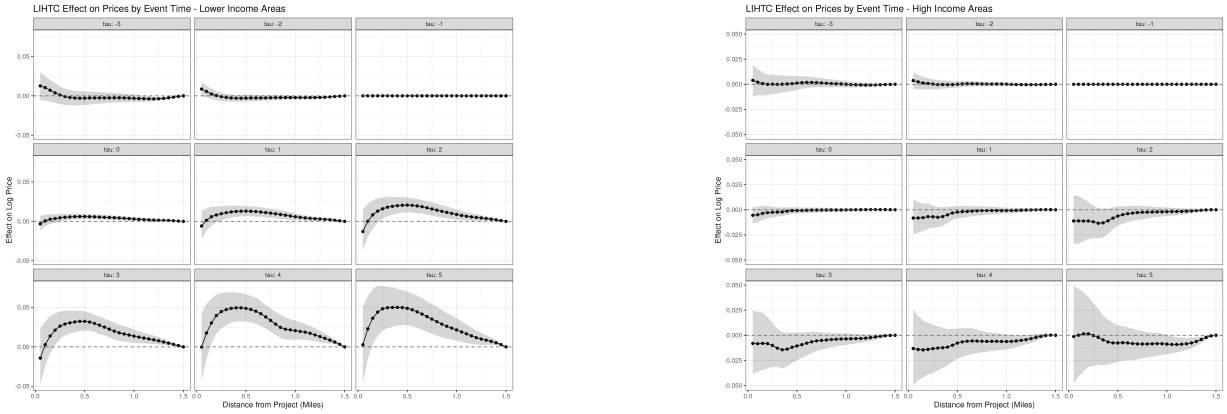
(A) Below-Median Income Neighborhoods



(B) Above-Median Income Neighborhoods

FIGURE 8. Effect of *Mount Laurel* Projects on House Prices, by Income of Neighborhood

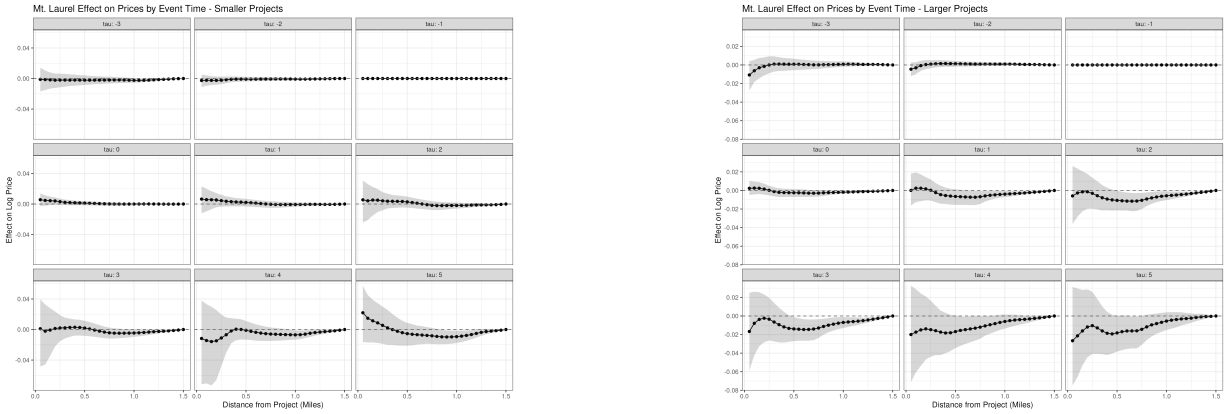
For LIHTC projects, the contrast in effects between below-median and above-median neighborhood incomes is stark. In neighborhoods below the median income of all neighborhoods where LIHTC projects are built(Figure 9a), the effect is more positive than Figure 6 would suggest. The estimated effect on nearby house prices is up to a five percent increase at approximately one-half miles away from the project. On the other hand, in above-median neighborhoods (Figure 9b), the effect is, if anything, a slight *decline* in house prices. These results suggest that the effect is statistically positive and economically meaningful in lower-income neighborhoods, but not so in higher income neighborhoods. This is in-line with what was found Diamond and McQuade [2019].



(A) Low-Income Neighborhoods (B) High-Income Neighborhoods

FIGURE 9. Effect of *LIHTC* Projects on House Prices, by Income of Neighborhood

5.1.2. *Effect by Project Size.* The results presented in Figures 5 and 6 also mask heterogeneity across the size of projects. Starting again with *Mount Laurel* projects, Figure 10 depicts the differing effect of nearby house prices when the project is below-median (Figure 10a) versus above-median (Figure 10b), where the median cut-off is calculated as the median among all *Mount Laurel* projects. The median cut-off is ninety-two units. The results in Figure 10a suggest that there is essentially no effect when the overall project consists of less than ninety-two total units. In contrast, Figure 10b is suggestive of a negative price effect around larger projects. Moreover, large projects appear to have an effect over larger distances, which is in line with intuition since larger projects are more salient and visible to homeowners further away, and will therefore have a farther reaching impact. Again, due to the relatively small sample size when categorizing projects as above- or below-median, most estimates are not statistically significant although they are close to being so.

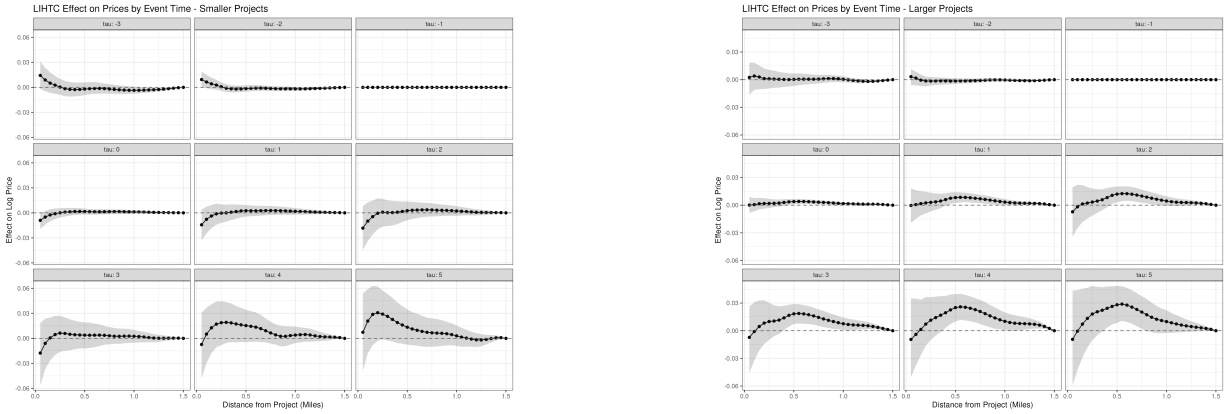


(A) Smaller Projects (B) Larger Projects

FIGURE 10. Effect of *Mount Laurel* Projects on House Prices, by Project Size

For *LIHTC* projects, the effect of below-median sized LIHTC projects are, as with the below-median sized *Mount Laurel* projects, small and positive, but not statistically significant. Moreover, even the point-estimates suggest that any effect is concentrated to a narrow radius around the project. For the larger projects, Figure 11b suggest that there are positive impacts on house prices concentrated one-half mile around the large projects. Therefore, as with *Mount Laurel* projects, the effect of a large *LIHTC* project is more geographically reaching than a smaller one.

In summary, this section has analyzed how different types of projects (*LIHTC*, *Mount Laurel* and *Market-Rate*) effect nearby house prices. Moreover, for the *LIHTC* and *Mount Laurel* projects, heterogeneity analysis comparing the effect in higher-income versus lower-income and among smaller versus larger projects are presented.



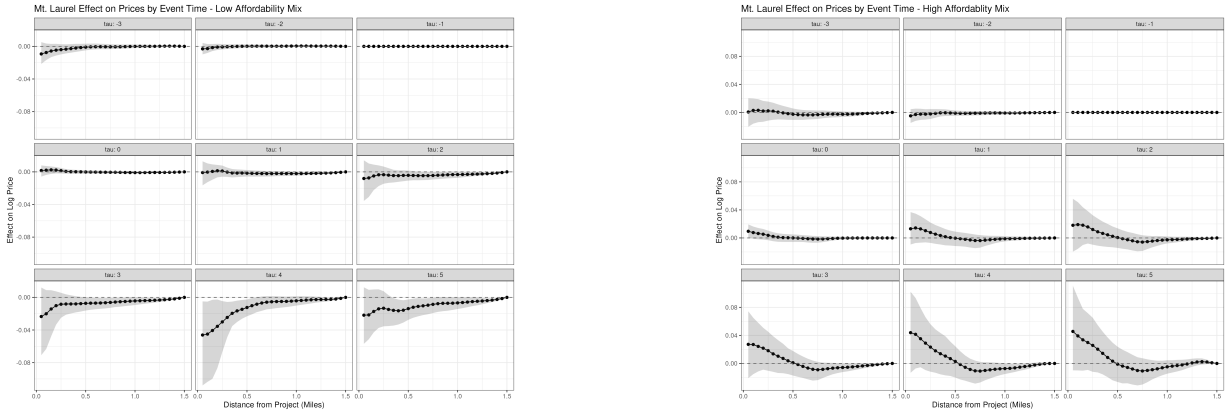
(A) Smaller Projects (B) Larger Projects

FIGURE 11. Effect of *LIHTC* Projects on House Prices, by Project Size

5.1.3. *Effect by Project Composition.* To conclude this section, I evaluate the differing effects that projects with a smaller low-income unit percentage have compared to projects with a larger low-income unit percentage. Specifically, I am classifying projects that have, at most, twenty percent of their units designated as low-income units to be have a low percentage of low-income units. Twenty percent is chosen because this is a common set-aside requirement that municipalities use in New Jersey. Note that since the only project type with significant variation in low-income vs. market-rate unit mixture is *Mount Laurel* projects, this project type is the only one discussed here.

Figure 12 depicts the differing effect. Interestingly, the results in Figure 12a suggest that there is a negative effect on house prices when the percentage of low-income units is *below* twenty percent. In contrast, Figure 12b depicts increasing prices around projects with a larger percentage of low-income units, albeit this increase is statistically insignificant. While this may seem counter-intuitive, these results are in line with what was shown in Section 5.1.2. The average size of the projects which set-aside no more than twenty percent of units as low-income is much larger ($\sim$ 170 units) compared to projects which set-aside more than twenty percent of the units as low-income ($\sim$ 102 units). Moreover, projects

with higher low-income set-aside are built in neighborhoods with slightly higher average incomes, which again help to explain the results in 12.



(A) Low Percentage of Low-Income Projects

(B) High Percentage of Low-Income Projects

FIGURE 12. Effect of *Mount Laurel* Projects on House Prices, by Project Composition

5.2. **Effect on Rental Prices.** The following analysis aims to analyze how different project types effect nearby *rental prices*. The vast majority of units in the *Mount Laurel*, *LIHTC* and *Market-Rate* projects are for-rent units rather than for-sale, therefore there is reason to believe the effect would be different. In the subsequent analysis, the log of monthly rent prices are used as the outcome of interest. Recall that rents are scraped at infrequent intervals, such as when a unit/property is listed for rent. If several units within the same property are scraped in the same time period, the mean of these are taken and used in the analysis.

Figure 13 depicts the effect that *Mount Laurel* projects have on rents. The figure emits two interesting results. First, it appears as though nearby rent prices are *increasing* following a project being built. However, the significant pre-trends caution over-interpolation of this result. Instead, Figure 13 suggests that nearby rental prices were already increasing *prior* to the projects and continue to do so after the project begins. This results suggest

that, while the developers may not be able to time their projects with respect to nearby home prices, they may have some ability to do so with respect to rents.

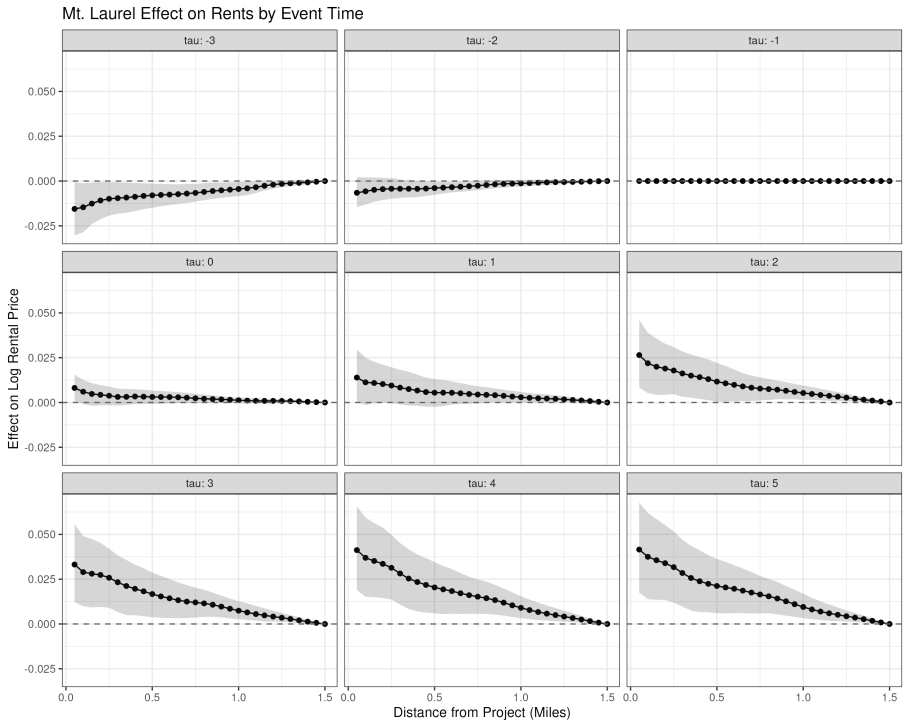


FIGURE 13. Effect of *Mount Laurel* Projects on Rent

For *LIHTC* projects, there appears to be a modest and immediate increase in rent prices immediately following the project being put into service, which dissipates within two years. Moreover, there again appears to be slight pre-trends. However, it is worth discussing the possibility that this phenomenon, present for both *LIHTC* and *Mount Laurel* projects, is not a result of project developers being able to time their projects with respect to rental prices, but instead a consequence of the projects themselves. If a nearby project is announced and current landlords are aware of this, then they may raise their rents *prior* to the projects construction/completion to lock-in tenants to a higher price in anticipation of an increase in competition. However, more analysis is required to parse out this potential confluence of mechanisms.

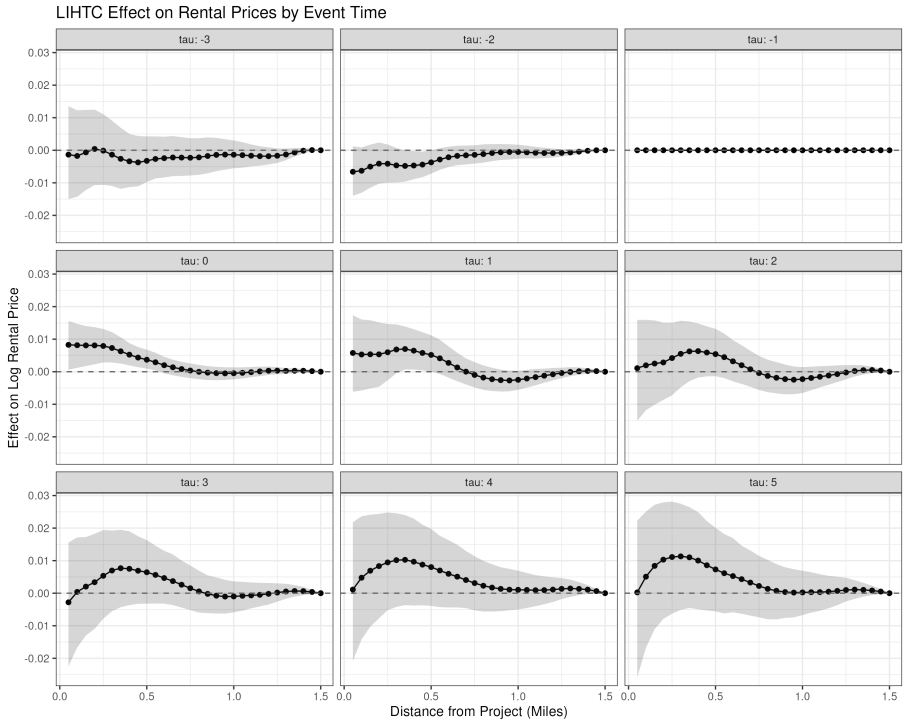


FIGURE 14. Effect of *LIHTC* Projects on Rent

5.3. **Effect on Economic Activity.** The final analysis aims to analyze how different project types effect nearby *spending* patterns. The outcome of interest is the log of the average daily transaction of a store. The results are presented for all three types of projects. As discussed in 4, the ring-method is more suitable here because of the lower geographic density of stores and the ability to repeatedly see the same store over time.

In order to avoid contamination of controls and treated stores, the sample is reduced to stores which are in proximity (within one mile) of only one project. Recall that the data for *Mount Laurel* and *Market-Rate* projects include the issuing *date* of the first permit, whereas the *LIHTC* data contains the *year* that the project is put into service. Therefore, for the *Mount Laurel* and *Market-Rate* analysis, quarterly effects are presented. For *LIHTC* project, effects are presented at the yearly level. Also, since the spending data only spans back to 2019, only projects which are created or permitted for in 2020 onward are kept in the analysis. The inner ring is defined as stores within one-half miles of the project,

and the controls are stores between one-half and one mile of the project. To avoid any forbidden comparisons between stores that are treated at different times, the method and accompanying R package developed in Sun and Abraham [2021] is used in estimations. One more choice I made that should be flagged is that I restrict the stores in the sample to only stores that are observed both before *and* after the project near it was permitted for or put into service. This restriction means results can be interpreted as the effect of a project on *existing* stores.

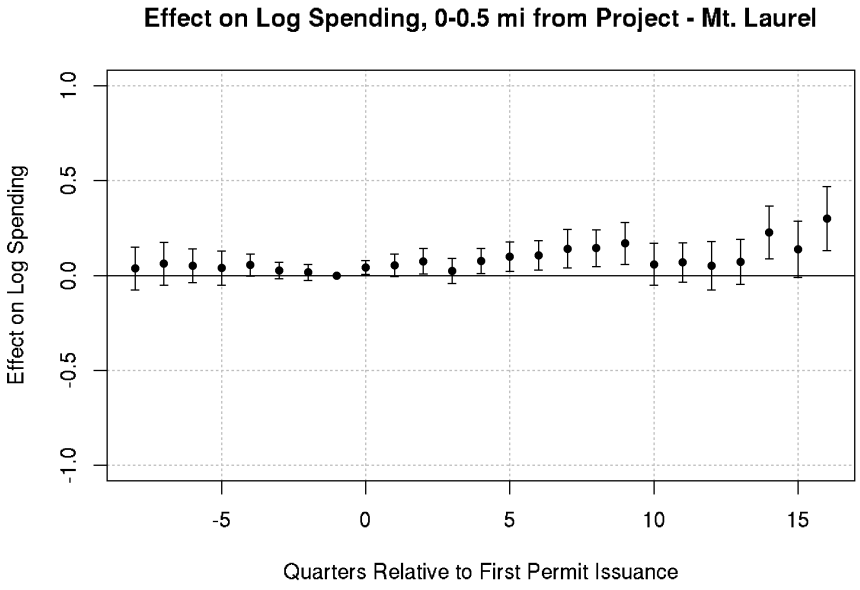


FIGURE 15. Effect of *Mount Laurel* Projects on Spending

Figure 15 depicts the effect that *Mount Laurel* projects have on store-level spending. There is a positive and significant effect on the daily transaction volume at stores within the inner ring compared to stores in the outer ring. The overall average treatment on the treated (ATT) estimate is a $\sim 8\%$ increase in transaction volume. Heterogeneity analysis by income and project size is provided in Appendix A. The results suggest that the effect is more pronounced when the project is sited in lower-income neighborhoods. When stratifying by project size, the results indicate that the effect around larger projects

do not present until later compared to smaller projects. This is likely a consequence of using the *permitting* date as the date of treatment, and larger projects taking longer to put into service compared to smaller projects. However, three years after the project is first permitted for, there are large and statistically significant increases in transaction volume for stores nearer to large projects.

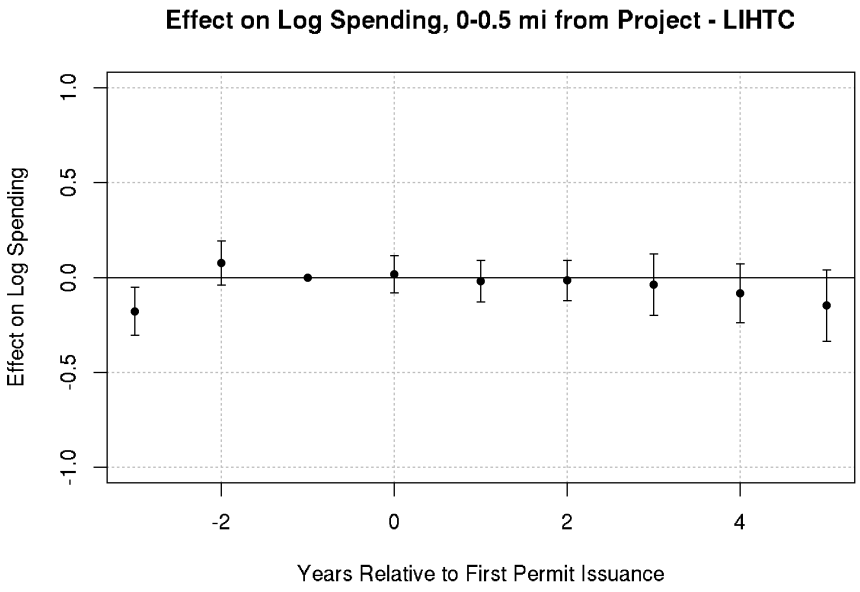


FIGURE 16. Effect of *LIHTC* Projects on Spending

Figure 16 depicts the effect that *LIHTC* projects have on store-level spending. In contrast to what is depicted in Figure 15, there are no positive and statistically significant effects estimated for stores located near a *LIHTC* project. A point of note is the pre-trend. While more analysis is needed to determine the exact cause, the likely culprit is that *LIHTC* projects are often sited in areas undergoing a revitalization period. This would explain the "ramp-up" in transaction volumes even before the project is put into service.

Finally, Figure 17 depicts the effect that *Market-Rate* projects have on store-level spending. Contrary to the effect seen around *Mount Laurel* projects, these types of projects seem

to have a *negative* effect on nearby stores, although the overall ATT is statistically insignificant. For *Market-Rate* projects, the only statistically significant effects are estimates for projects built in lower-income and higher-income areas. The ATT estimate around projects built in lower-income neighborhoods is a $\sim 13\%$ increase in transaction volume, while it is a $\sim 8\%$ decrease in transaction volume around projects sited in higher-income areas.

Of the three types of projects analyzed here, *Mount Laurel* projects are estimated to have the most positive impact on nearby stores. More investigation is needed to parse out the mechanism driving this result, but there is one possibility worth discussing briefly. As intended by the Mount Laurel Doctrine, these projects are bringing higher-density living to neighborhoods that traditionally zone for lower-density housing. Compared to *Market-Rate* projects, these projects are increasing the potential customer base of nearby stores by a larger percentage. Moreover, due to the mixed-income make-up of tenants, these projects are bringing residents with higher disposable incomes compared to the *LIHTC* projects. This confluence is one potential reason why the *Mount Laurel* projects result in increased spending at nearby stores. Alternatively,

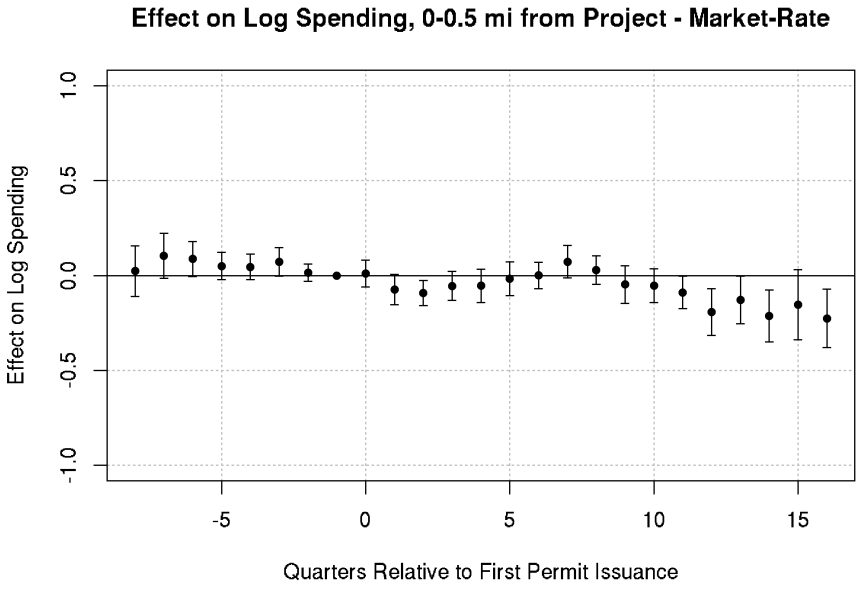


FIGURE 17. Effect of *Market-Rate* Projects on Spending

6. Discussion

In this section, I will discuss the limitations of this study and the potential for improvements in future work. Although the initial inception of the Mount Laurel Doctrine took place decades ago, the regional contribution agreements and lax enforcement means past iterations are vastly different than the most recent one (2015-2025). Moreover, the case-by-case manner in which the most recent round of obligations were set along with the infrequency that municipalities self-report on their progress in meeting their obligations makes data collection on when and how municipalities have met their obligations difficult. Without New Jersey Fair Share Housing Commission's proprietary data, it is nearly impossible for an investigator to determine what projects are built and the funding mechanism behind them. Much of this difficult reduces down to the absence of a centralized agency charged with oversight of fair share obligations. This has been remedied in the new round that is beginning in 2026. In this most recent round, which will span from 2026 until 2035, responsibilities have been transferred from the New Jersey court system to the Department of Community Affairs (*DCA*). For future research, this has several advantages. First, *DCA* has centralized the process for determining municipalities' fair share obligations and publicly publishes this requirement. Additionally, municipalities are tasked with submitting a master plan where they lay out their plan to meet their fair share obligation over the next ten years. Municipalities are also required to submit updates on their project to *DCA*, who then publish these updates annually. These changes will allow for researchers to better assess if and how municipalities are meeting their obligations. The master plans will also allow researchers to see how they planned to meet their obligations compared to the end-result. These will allow future research to answer several nuanced questions that are not currently feasible. For example, the master plan would likely lay out the funding mechanism that will be used to meet their obligations, allowing for further heterogeneity analysis into the mechanism *behind* completed projects. For example, whether the project is funded with local tax breaks, is entirely using cross-subsidization from market-rate units, or if the developed land is owned by the municipality and then gifted to the developer. This

allows for economic analysis into how projects affect municipalities' finances, an analysis which is currently beyond what the data I have can evaluate.

Another avenue for future research is evaluating the long-run effects of projects. Regarding *Mount Laurel* projects, the available data uses the date when the first permit for a project is issued, not the date when the project is completed. These dates range from 2013-2022 while the housing data from Cotality spans from before 2000 until the end of 2022. This makes evaluation of long-run effects infeasible because of the limited number of projects permitted before 2017. In reality, this limits the estimation of effects after the actual *creation* to 3 or 4 years. Being able to see long-run impacts would allow for a better understanding of how effects evolve after the project is permitted for and/or put into service.

7. Conclusion

Housing affordability has been a leading focus of political discourse for decades, and has become increasingly so in recent years. This paper provides the first micro-level analysis of one of the largest state-level, low-income housing initiatives in the United States. The analysis aims to answer several of the primary questions that residents have when a low-income housing project is sited in their neighborhood: "How will this affect my home price?". "Will this impact my rent?". "Will there be new customers coming to my store?". Estimates indicate that residents fears about negative impacts on their house prices are not unwarranted and there is a small decrease in home prices, with point estimates ranging from negative one to negative two percent. These effects are diffuse, extending up to one mile from the *Mount Laurel* project. This decline is being driven by the effects of larger projects, with smaller projects (projects smaller than ninety-two total units) having virtually no impact on prices. This is in stark contrast to projects funded by the *LIHTC* program, which are estimated to have a positive impact on prices. However, *LIHTC* projects are, on average, smaller than *Mount Laurel* projects and are built in much lower-income neighborhoods.

In terms of rental prices, *Mount Laurel* projects appear to have a *positive* impact. However, pre-trends also indicate a potential confounding that should warn off over-reliance on these results: rents appear to be rising around the *Mount Laurel* site *before* the project is permitted for. This result could be indicative of landlords' anticipating the projects, or the developers being able to time their projects with *rents* but not home prices. Finally, results regarding the effects on nearby stores suggest that *Mount Laurel* projects have a particularly positive impact on stores' transaction volumes. This effect is estimated to be an average of $\sim 8\%$ increase in transaction volume over the four years following the project being permitted for. This is likely an underestimate of projects' impacts, with the estimates in later periods exceeding eight percent. This is in contrast to the effect of the other project types, which have largely insignificant effects over the same time period.

As discussed, there are several limitations of this current study. In particular, the limited data resulting from the lax enforcement of the Mount Laurel Doctrine and the absence of a unifying body reporting on municipalities' progress makes analysis of the most recent iteration of this program difficult. Additionally, even though the initial Mount Laurel ruling was handed down a half-century ago, implementation has been sparse until recently, which limits the post-period analysis that is currently feasible. As more post-period data becomes available and the newest iteration of the program (2026-2035 round) begins, more in-depth and rigorous analysis of the program will be possible. Despite these limitations, this paper has shed light on how the distinct projects that are being built via the Mount Laurel Doctrine differ from other, more well-studied project types, further motivating the need for further analysis into whether this type of program should be adopted by other states. Moreover, analysis into the financial burden of these burdens, which is outside the scope of this current paper, will be able to evaluate the impact on municipal finances and better encapsulate the economic benefits and costs of this alternative project structure.

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Appendix A. Appendix

A.1. **Alternative Methods for Estimating Price Effects.** Figure 18 depicts the estimated effect of *Mount Laurel* projects on house prices using the *CSDiD* method. The effect is not estimated by discrete event times, but instead pools all pre-periods ($\tau = \{-3, -2, -1\}$) and all post-periods ($\tau = \{0, \ldots, 5\}$) together. This yields estimate for the overall effect for the post-period. Even with this pooling, this method yields much less precise estimates than the *DQ* method. This imprecision is due to the higher data requirements that this method calls for.

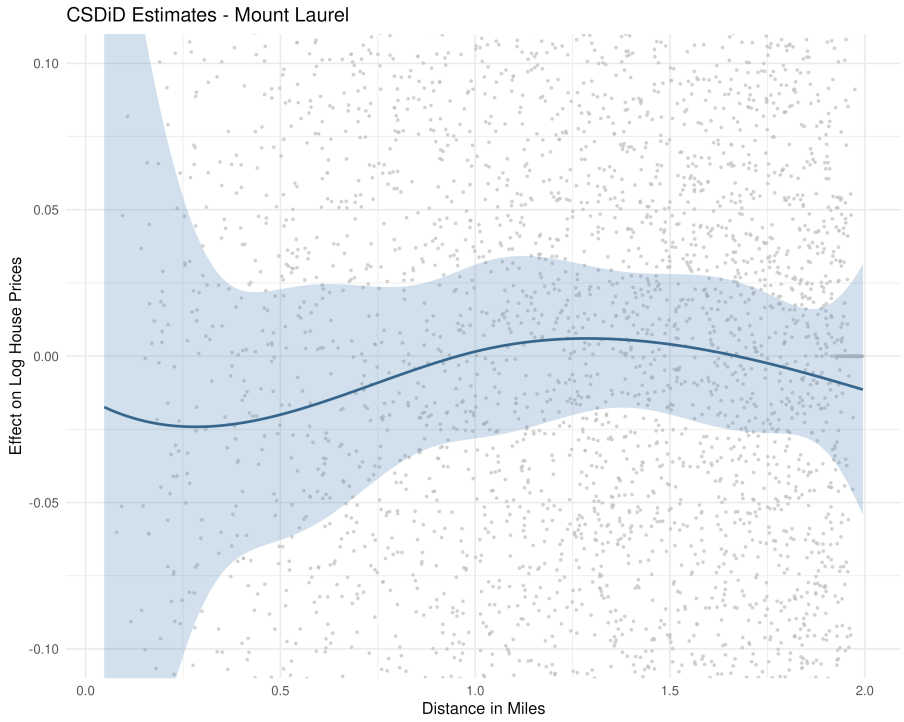
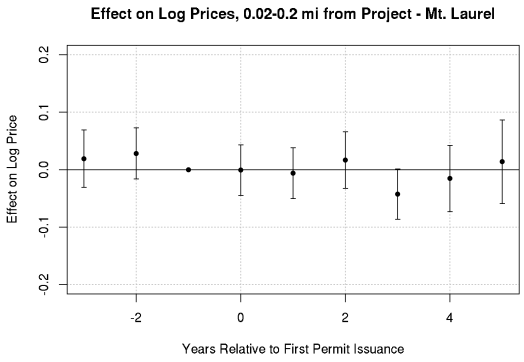
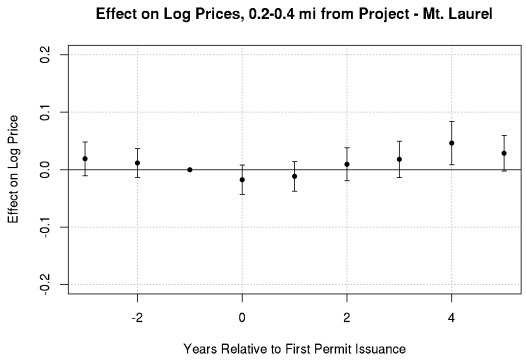


Figure 18. Effect of *Mount Laurel* Projects on Prices - *CSDiD*

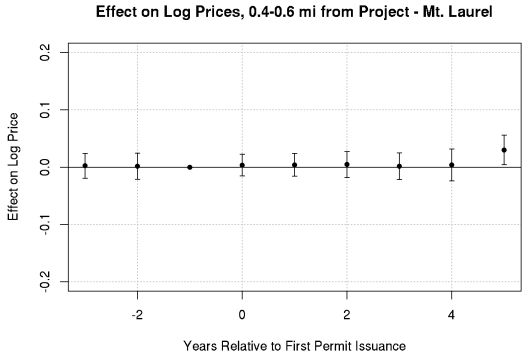
Figure 19 presents the estimates obtained by using the traditional ring method. For this particular specification, the control houses are those that are between 0.6 and 0.8 miles from the project site. There are three treated rings: 0.02-0.2 miles, 0.2-0.4 miles and 0.4-0.6 miles. The results are again noisy and largely insignificant. Moreover, while I am presenting a single specification, alternative specifications with varying treatment and control rings were also used. Different specifications yield different results, highlighting the sensitivity of this method to the researcher's choice of both the size and number of rings.



(A) Effect ≤ 0.2 mi from projects



(B) Effect $\in (0.2, 0.4]$ mi from projects



(C) Effect $\in (0.4, 0.6]$ mi from projects

FIGURE 19. *Mount Laurel*'s Effect on House Prices

A.2. **Trimmed *DQ* Method - Prices.** In this subsection, analyses using the *DQ* method are presented again, but with the alternative data processing method discussed in 4. For these results, the housing data was trimmed to only include transactions which are in proximity to only one project of a given type, or are in proximity to more than one project but the sale occurred before any of the projects were put into service or permitted for. As would be expected for reasons discussed in Section 4, the results are more deflationary than the results in Section 5.1. To reiterate, this is because the houses that "responded" well to the project are likely more accepting of other projects, causing them to be in proximity to multiple projects and therefore be dropped from this analysis. This effect is more pronounced for *LIHTC* projects than for *Mount Laurel* projects because there is more distance, on average, between *Mount Laurel* projects and their nearest neighbor compared to *LIHTC* projects.

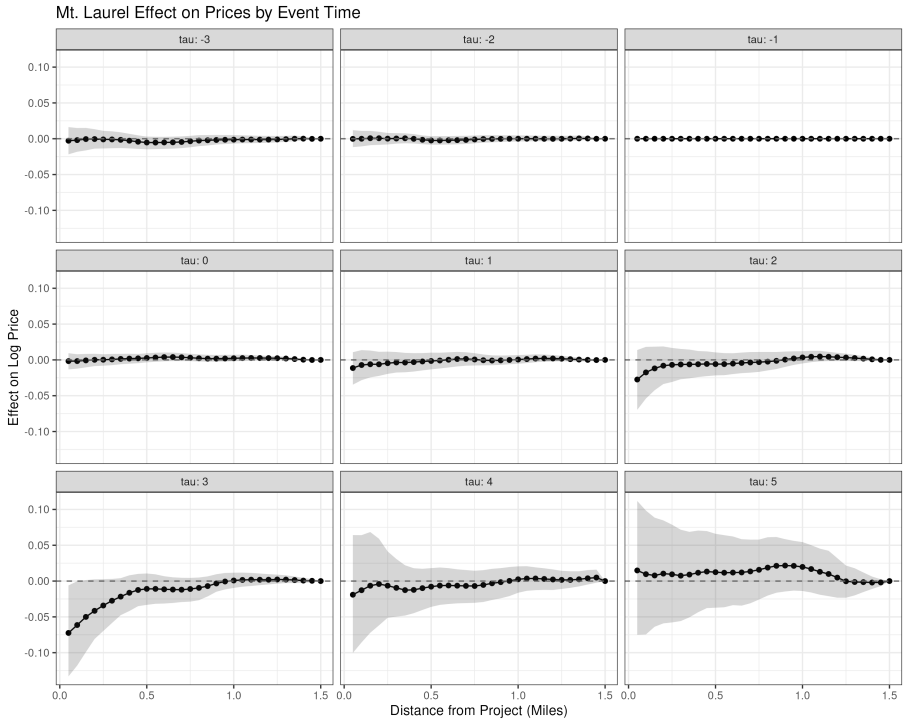


FIGURE 20. Effect of *Mount Laurel* Projects on House Prices

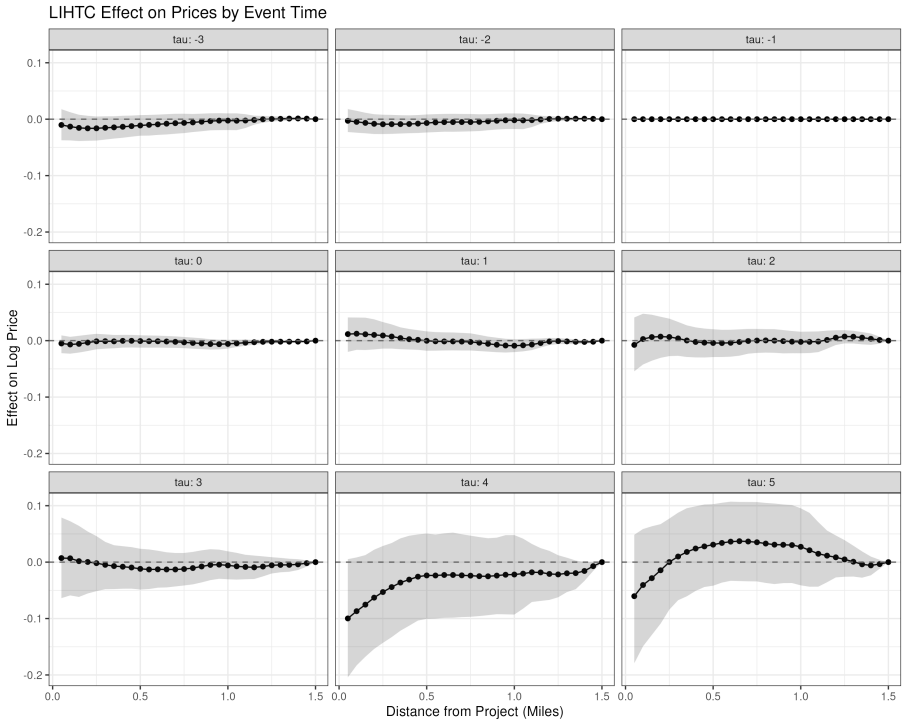


FIGURE 21. Effect of *LIHTC* Projects on House Prices

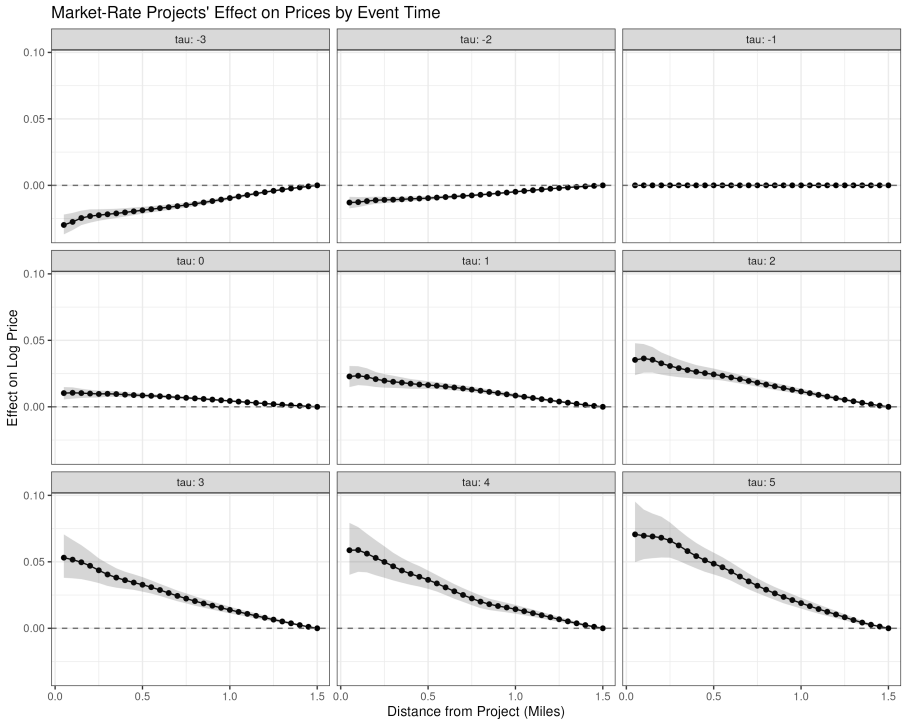
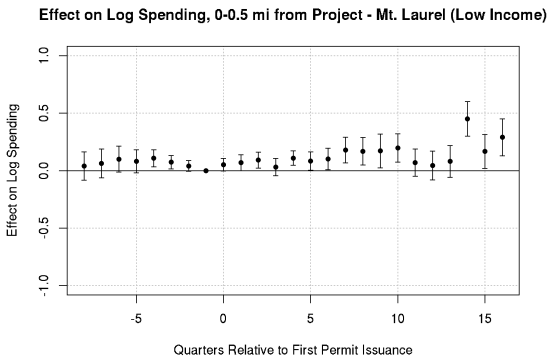
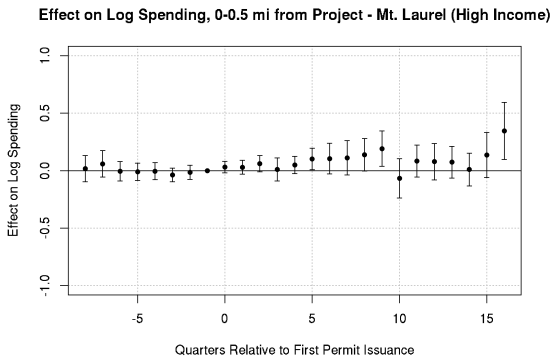


FIGURE 22. Effect of *Market-Rate* Projects on House Prices

A.3. **Heterogeneity Analysis for Spending.** Figures 23 and 24 present the effect of *Mount Laurel* projects on spending, stratified by median neighborhood income and project size, respectively. Figure 23 suggests that there is a more positive spending effect when projects are sited in lower-income neighborhoods. Figure 24 suggests that smaller projects have larger initial impacts on spending, but larger projects have larger effects three years after the project was first permitted for.

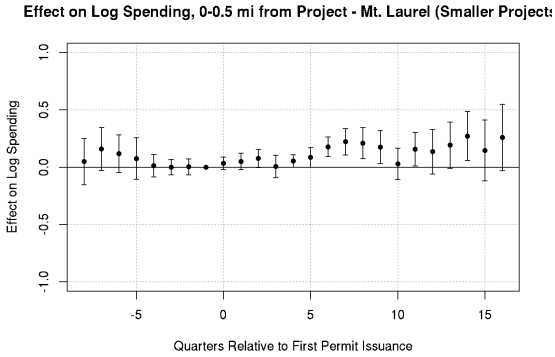


(A) Low Income

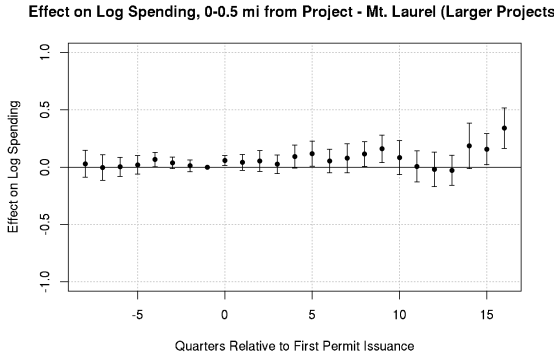


(B) High Income

FIGURE 23. *Mount Laurel*'s Effect on Spending, by Income



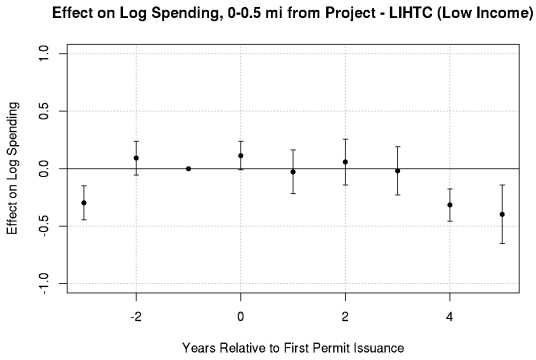
(A) Smaller Projects



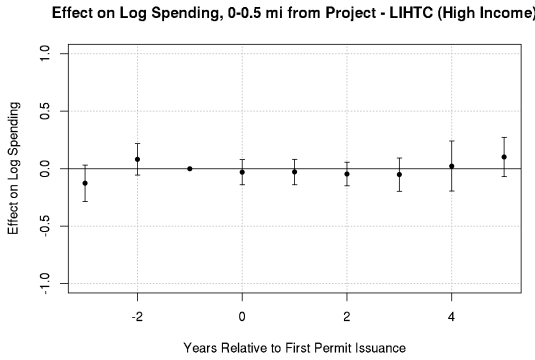
(B) Larger Projects

FIGURE 24. *Mount Laurel*'s Effect on Spending, by Project Size

Figures 25 and 26 present the effect of *LIHTC* projects on spending, stratified by median neighborhood income and project size, respectively. As with 16, there appears to be pre-trends indicating a rise in spending *pre-dating* the project being put into service.

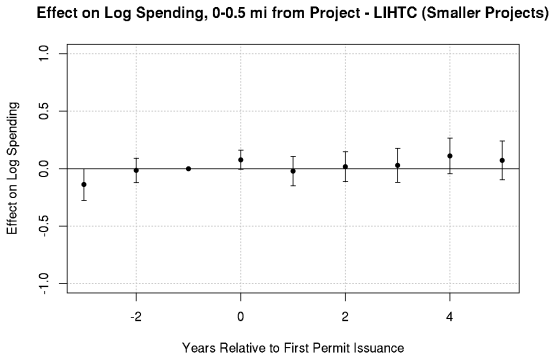


(A) Low Income

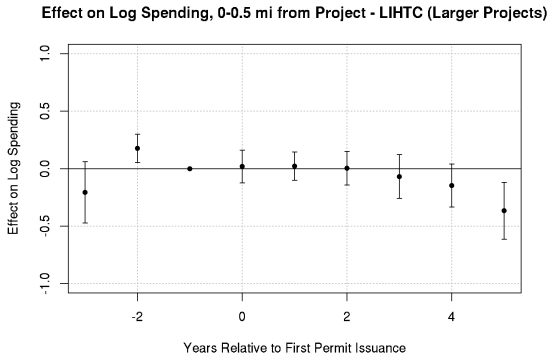


(B) High Income

FIGURE 25. *LIHTC*'s Effect on Spending, by Income



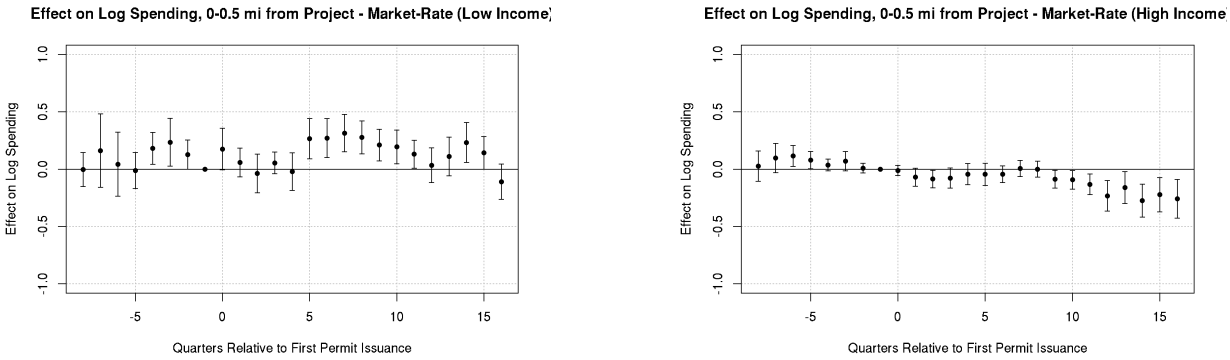
(A) Low Income



(B) High Income

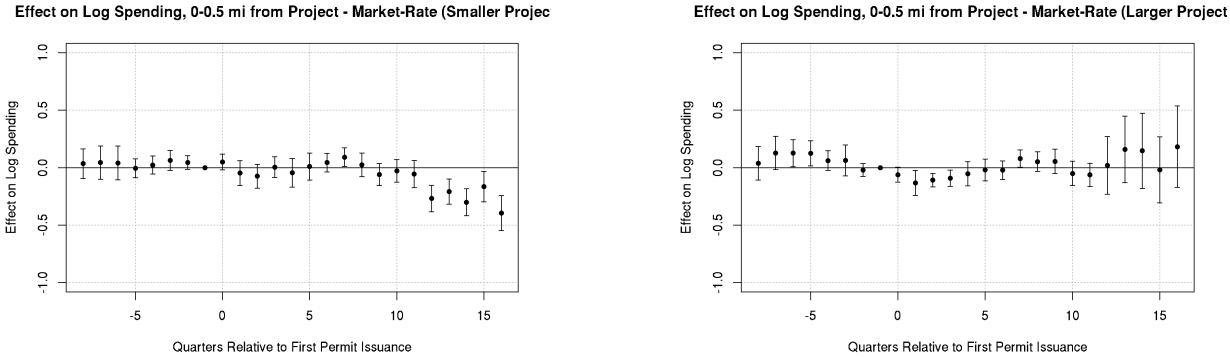
FIGURE 26. *LIHTC*'s Effect on Spending, by Project Size

Finally, Figures 27 and 28 present the effects of *Market-Rate* projects on spending, stratified by median neighborhood income and project size, respectively. The results suggest that more positive spending effects are seen around *Market-Rate* projects built in lower-income neighborhoods, and around larger projects.



(A) Low Income (B) High Income

FIGURE 27. *Market Rates*'s Effect on Spending, by Income



(A) Low Income (B) High Income

FIGURE 28. *Market Rates*'s Effect on Spending, by Project Size